

State of the Economy*

The conflict in Middle East and fresh trade investigations by the US have resulted in increased volatility in the global markets. The second advance estimates of GDP for 2025–26 indicate sustained resilience of the Indian economy. High frequency indicators signal towards economic activity gaining momentum in February. CPI headline inflation picked up in February on account of food and beverages. System liquidity has remained comfortable and the total flow of financial resources to the commercial sector rose, with a rise in financing from both the bank and non-bank sources. India's foreign exchange reserves remain adequate to provide cushion against external shocks.

Introduction

Global uncertainty, after retreating for four consecutive months, rose again in February with an uptick in trade policy uncertainty, following the verdict of the US Supreme Court on import tariffs. Since end-February, the geopolitical tensions in the Middle East intensified into a major conflict causing significant disruption to key oil infrastructure and critical energy corridors due to the closure of Strait of Hormuz. Alongside, US administration has also launched fresh probes into trade practices by major trading partners. All these factors have resulted in increased volatility across the various commodity and financial markets.

Global commodity markets came under intense pressure from supply disruptions across trade in

crude oil, natural gas, and fertilisers. The International Energy Agency categorised it as "the largest supply disruption in the history of the global oil market".¹ Brent crude oil prices exhibited volatility with prices moving from US\$ 78 per barrel to US\$ 112.2 per barrel in March.² Besides the markets for fuel products and LNG, critical industrial inputs like aluminium and urea were also adversely affected.

Reverberations of the energy shock transmitted rapidly to the financial markets. Equity markets came under selling pressures in March with the decline more pronounced in energy-importing economies, particularly in Europe and Asia. Bond markets repriced, with US sovereign yields hardening. Emerging market currencies came under pressure amidst heightened risk aversion while the US dollar strengthened on safe-haven demand. In this environment of heightened uncertainties, major systemic central banks kept policy rates unchanged during February–March.

The second advance estimates of GDP for 2025-26, with the new base year 2022-23, indicate sustained resilience in the Indian economy. The growth was driven by strong domestic demand, with private final consumption expenditure and investment activity remaining robust. The quarterly growth also remained high at 7.8 per cent in Q3:2025-26.

High frequency indicators signal towards economic activity gaining momentum in February. Both urban and rural markets supported strong demand, aided by lower income tax and GST rates, cash flows from the *kharif* harvest, and the wedding season. Retail sales of two-wheelers, passenger vehicles, and tractors reached their highest-ever levels for February. Agriculture remained on a strong footing, with the second advance estimates placing foodgrain production at a record level in 2025-26. Industrial activity continued to register robust growth

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¹ The International Energy Agency (IEA). Oil Market Report - March 2026.

² Based on Brent crude generic 1st futures daily closing prices till March 20, 2026.

and the services sector demonstrated resilience. Corporate sector performance also improved with listed private non-financial companies reporting stronger operating profit growth in Q3:2025-26, driven particularly by manufacturing and information technology firms.

Headline consumer price index (CPI) inflation edged up in February. Food and beverages inflation increased as vegetable prices came out of deflation. On the other hand, core inflation, across various measures, remained stable.

System liquidity has remained comfortable since February on account of increased government spending and RBI's liquidity augmenting measures, though advance tax and GST related outflows have resulted in some moderation since March 16. The weighted average call rate (WACR) – the operating target of monetary policy – hovered in the lower half of the policy corridor till first half of March and then inched up closer to the repo rate on account of moderation in surplus liquidity. The yields on treasury bills remained rangebound. Yields on commercial papers and interest rate on certificates of deposit, however, remained elevated with the edging up in the latter partly reflecting the increased issuances by banks to bridge the year-end funding gaps amidst the rollover of maturing papers. The Middle East conflict led to the firming up of yields on dated government securities. Bank deposit and credit continued to sustain double digit growth. During 2025-26 so far (February 28), the total flow of financial resources to the commercial sector rose, with a rise in financing from both the bank and non-bank sources.

Indian equity markets corrected in the second half of February amidst persistent selling of IT stocks after some advance in the first half. The conflict in the Middle East since end-February has triggered a broad-based sell-off across sectors. The Rupee has come under renewed pressures in March amidst FPI outflows.

India's current account deficit (CAD) went up marginally in Q3:2025-26 from last year, primarily driven by a higher merchandise trade deficit. Despite the capital outflows, India's foreign exchange reserves remain adequate to provide cushion against external shocks.

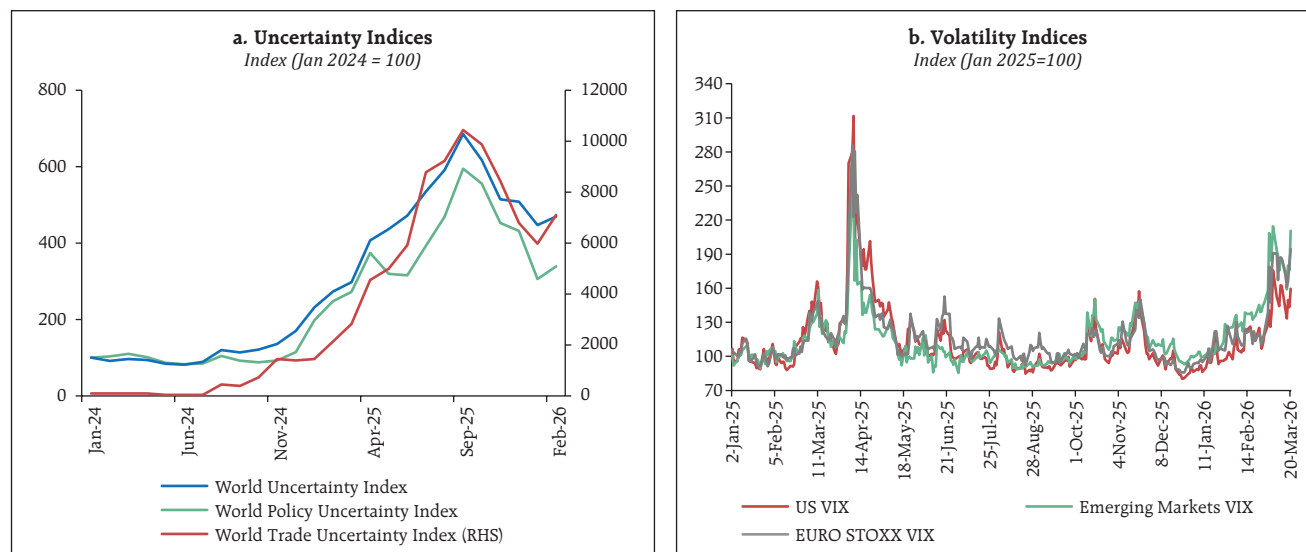
Set against this backdrop, the rest of the article is structured into four sections. Section II covers the rapidly evolving developments in the global economy. Section III provides an assessment of domestic macroeconomic conditions. Section IV encapsulates financial conditions in India, while Section V presents the concluding observations. The analysis in this article primarily pertains to the month of February and as such does not cover the full impact of the Middle East conflict. The impact of the conflict would be covered more in the next issue once the data/information for the month of March are available.

II. Global Setting

Measures of uncertainty, including trade and policy uncertainties, edged up in February after the US Supreme Court struck down earlier import tariffs and the US administration imposed fresh global duties on all countries. The global environment saw a drastic deterioration towards the end of the month, as geopolitical tensions in the Middle East intensified leading to a major conflict between the US-Israel and Iran. The conflict disrupted critical energy supply routes, including the Strait of Hormuz, and damaged key energy complexes in the Middle East. Reflecting these developments, global financial markets registered a sharp increase in volatility in March (Chart II.1).³

The global composite PMI rose to a 21-month high in February, with economic activity broadly returning to its long-run trend. Robust expansion in business activity was supported by services sector growth and marked improvement in manufacturing. Broad-based

³ The geopolitical risk index moderated in February but is expected to rise in March due to the escalation of the conflict in the Middle East.

Chart II.1: Global Uncertainty and Market Volatility Surged

Sources: Chicago Board Options Exchange; www.PolicyUncertainty.com; Bloomberg; and World Uncertainty Index (WUI) database.

growth was witnessed across major AEs and EMDEs (Table II.1 and Chart II.2a).

New export orders crossed the neutral zone and turned expansionary for the first time since April 2025, reversing the sentiments of the previous ten months driven by heightened trade policy uncertainty. New export orders, however, displayed divergent trends across regions. They remained in contraction across most AEs, except the UK, Japan,

Germany and Australia. Among major EMDEs, export orders in India and China expanded at a robust pace, while it contracted in Russia (Table II.1 and Chart II.2b).

In February, global commodity prices exhibited divergent trends across segments. The World Bank Commodity Price Index declined, while the Food and Agriculture Organization's Food Price Index increased, snapping a five-month declining

Table II.1: Global Manufacturing PMI and Export Orders Recorded Robust Expansion in February

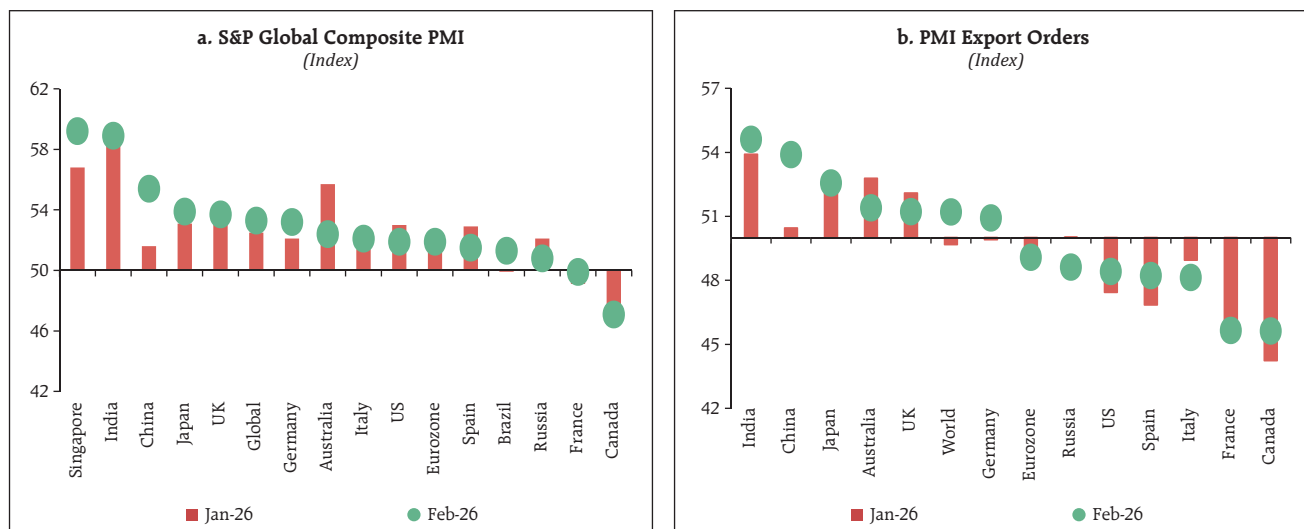
	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26
PMI Composite	51.8	51.5	52.1	50.8	51.2	51.7	52.5	52.9	52.5	53.0	52.7	52	52.5	53.3
PMI Manufacturing	50.1	50.6	50.3	49.8	49.5	50.4	49.7	50.9	50.7	50.9	50.5	50.4	50.9	51.9
PMI Services	52.2	51.5	52.7	50.8	52	51.8	53.5	53.3	52.9	53.5	53.2	52.4	52.7	53.4
PMI Export Orders	49.6	49.7	50.1	47.5	48.0	49.1	48.5	48.9	49.7	48.6	50.0	49.2	49.7	51.2
PMI Export Orders: Manufacturing	49.4	49.6	50.1	47.3	48.0	49.2	48.2	48.7	49.5	48.3	49.9	49.1	49.9	51.4
PMI Export Orders: Services	50.2	50.2	50.1	48.2	47.9	48.7	49.4	49.3	50.2	49.4	50.2	49.6	49.0	50.6

<<<<<<Contraction-----50-----Expansion>>>>>>

Notes: 1. The Purchasing Managers' Index (PMI), a diffusion index, captures the change in each variable compared to the prior month, noting whether each has risen/improved, fallen/deteriorated or remained unchanged. A PMI value >50 denote expansion; <50 denote contraction; and =50 denote 'no change'.

2. Heat map is applied on data from April 2023 onwards. The map is colour coded—red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.

Source: S&P Global.

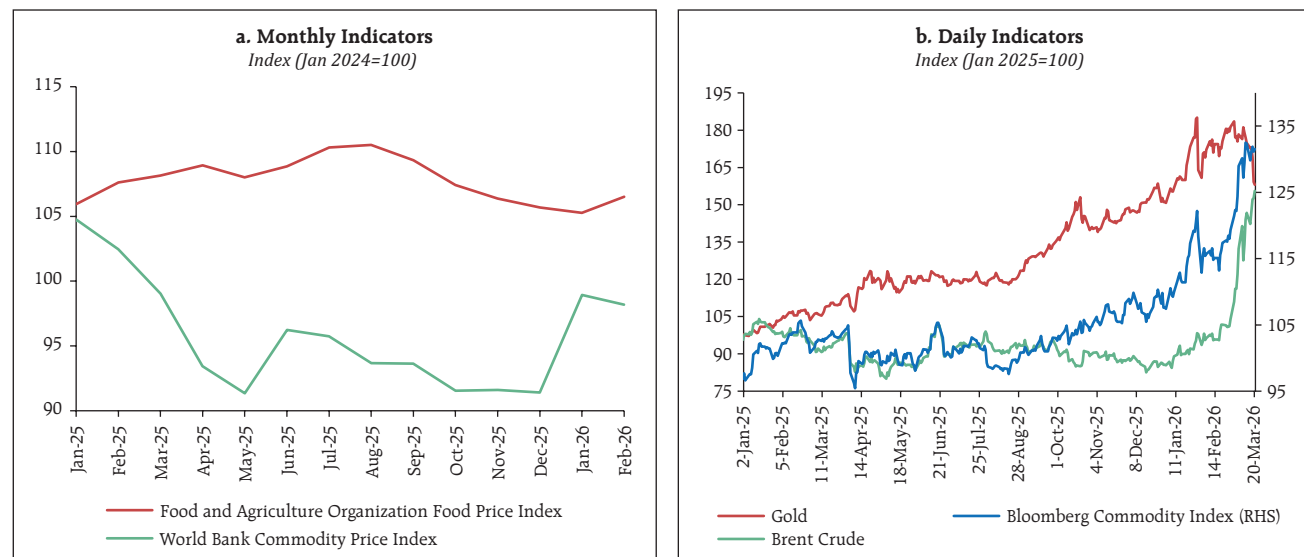
Chart II.2: Purchasing Managers' Index: Comparison across Jurisdictions

Note: A level of 50 indicates no change in activity, while a reading above 50 signals expansion and below 50 suggests contraction.
Source: S&P Global.

streak (Chart II.3a). Gold prices strengthened during February amidst elevated geopolitical uncertainty but moderated in March as safe-haven demand shifted towards the US dollar and fixed income assets.

Commodity price movements, as indicated by high-frequency indicators, underwent a sharp change in March following the start of the military conflict in

the Middle East. The upturn in commodity prices has been broad-based, accompanied by an intensification of price volatility. The Bloomberg Commodity Index spiked in March so far, driven by sharp increases in prices of energy and a modest rise in agricultural commodities (Chart II.3b). Aluminium prices, which were already elevated, surged further amidst supply concerns, due to smelter closures and *force majeure*

Chart II.3: Commodity and Food Prices

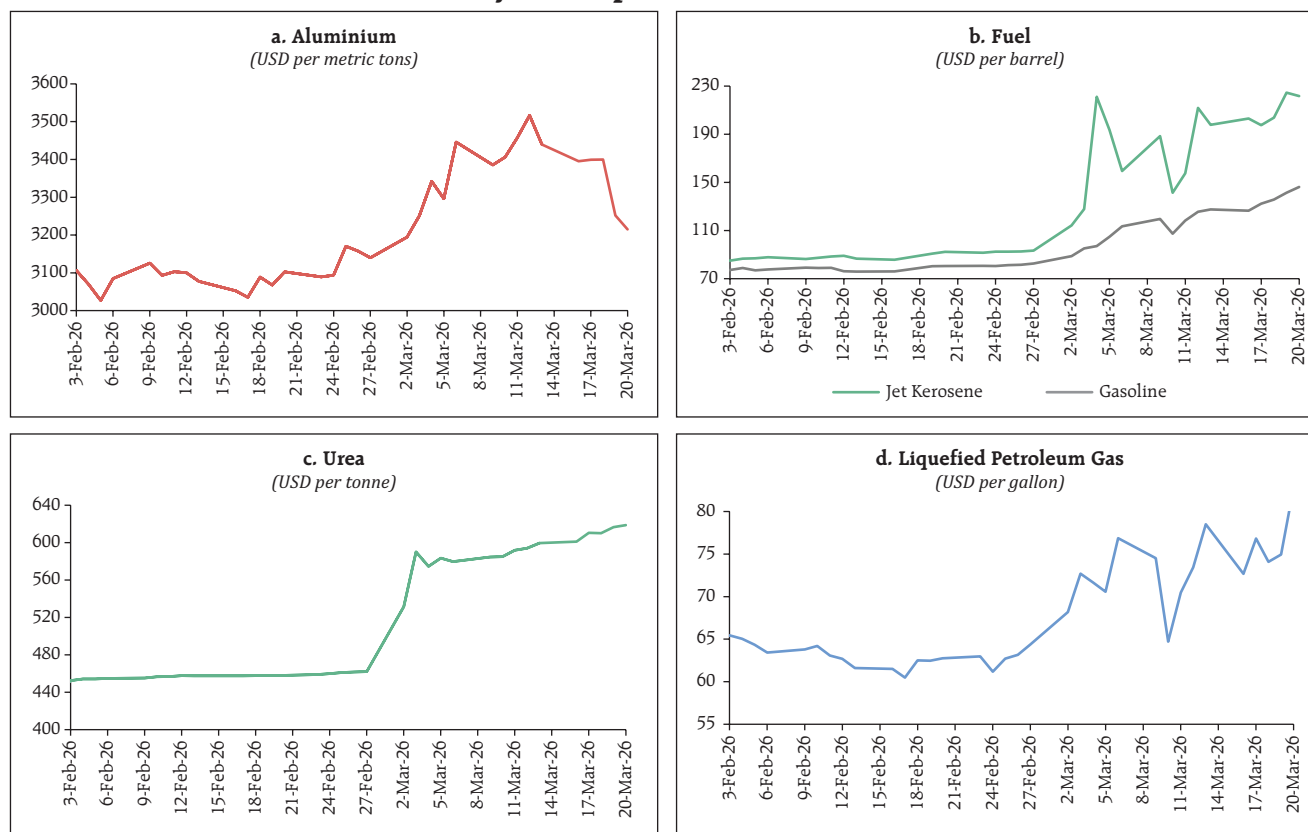
Sources: Food and Agriculture Organization; Bloomberg; and World Bank Pink Sheet.

declarations by producers in the Middle East, at a time when global inventories were near historic lows. Brent crude oil prices surged to an intraday peak of USD 119.5 per barrel on March 9. Marked by high volatility, prices continued to climb despite the agreement by International Energy Agency member countries to release emergency oil reserves to mitigate shortages. Aviation fuel prices spiked along with sharp increases in gasoline and LPG prices on refinery outages. Given the Middle East's significant role in global fertiliser production and exports, supply disruptions due to the conflict led to a surge in urea prices (Chart II.4).

Inflation, in February, exhibited mixed movements across major AEs and EMDEs. In the UK, inflation eased to its lowest level since March 2025, led

by softer increases in transport and food prices, while inflation in the US remained steady. Japan's inflation continued to ease, driven by softer food prices. Euro area inflation rose from a 16-month low in the previous month, driven by a notable acceleration in services inflation (Chart II.5a). Among major EMDEs, China's CPI inflation rose to its highest level since January 2023, driven primarily by stronger consumer spending during this year's Lunar New Year festivities. CPI inflation in Brazil declined on account of easing food prices. In Russia, though inflation moderated, it remained elevated. South Africa's inflation fell to its lowest level since June 2025 (Chart II.5b). In March, the widening conflict in the Middle East is expected to increase upside risks to global inflation across major economies, as surging energy prices and

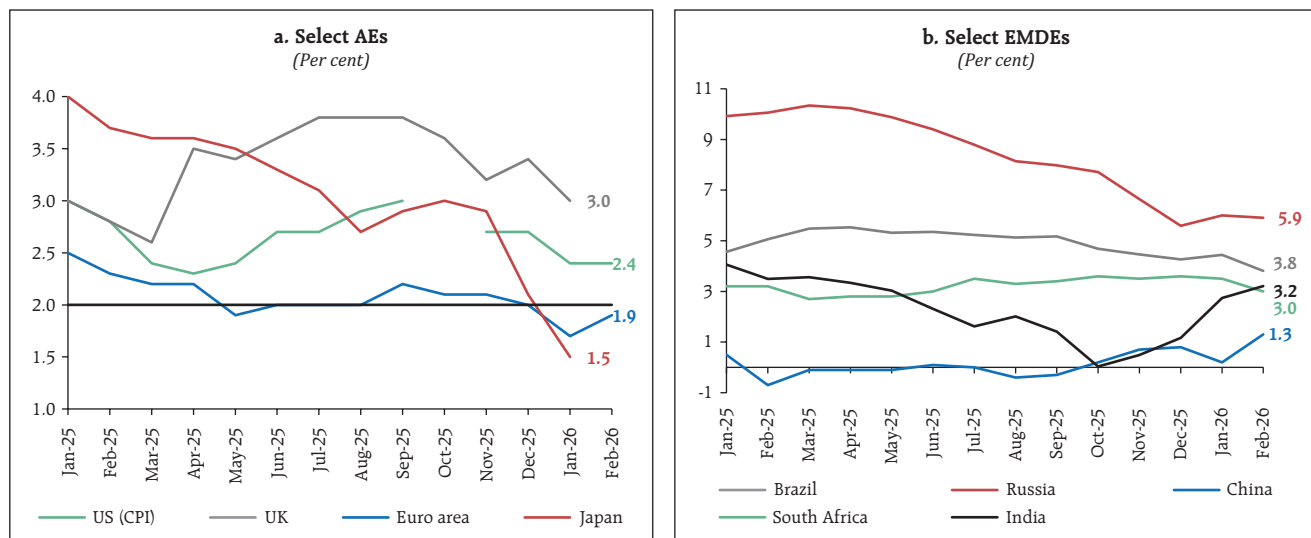
Chart II.4: Commodity Prices Spiked as Middle East Conflict Escalated



Note: The data refer to the following benchmark contracts and price indices: LME Aluminium 3-month futures; Singapore Jet Kerosene and Singapore Gasoline spot prices; Urea US Gulf futures; and Mont Belvieu Propane Fixed Price futures (LPG).

Source: Bloomberg.

Chart II.5: Headline Inflation

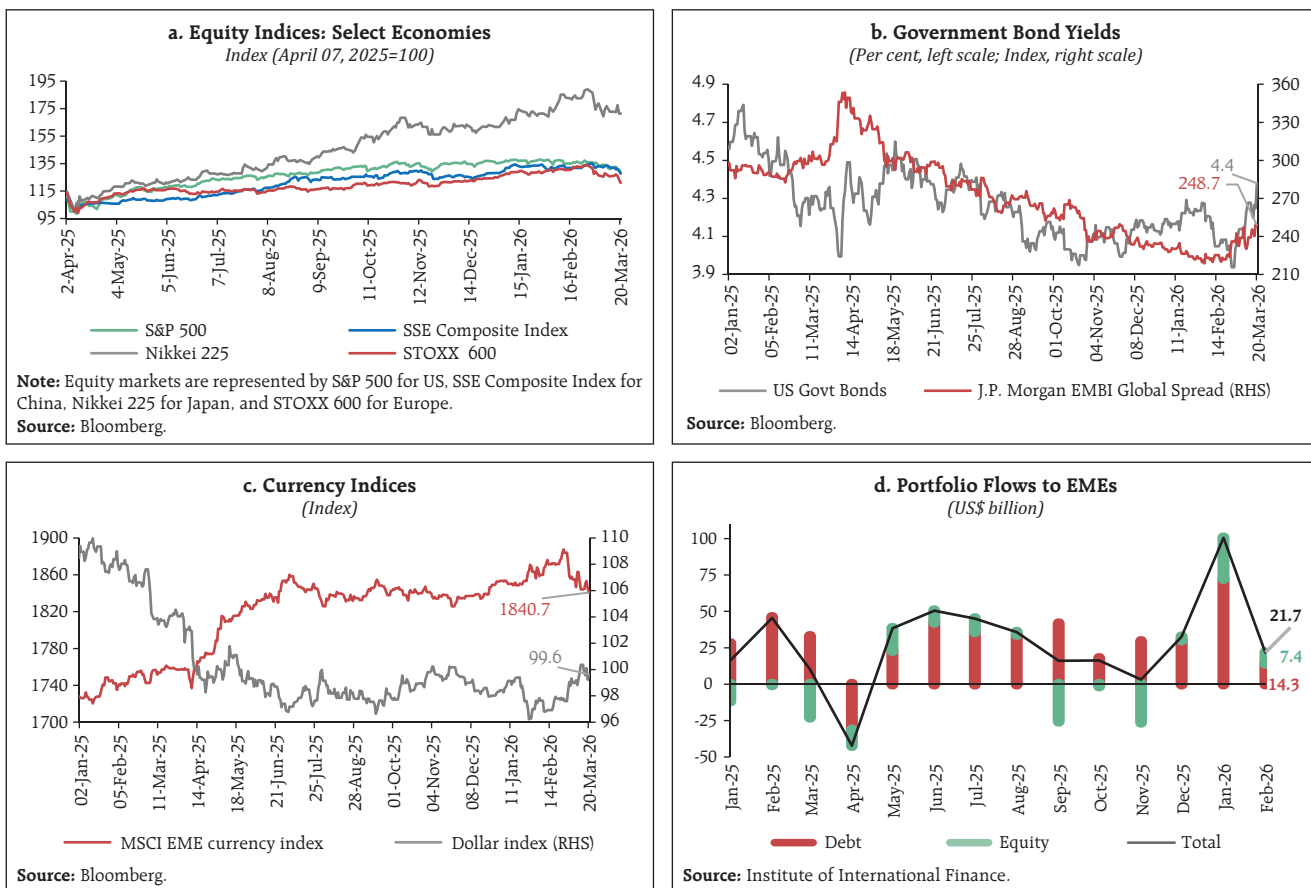


Note: US CPI data is not available for October 2025 due to the US Government shutdown.
Sources: Bloomberg; and OECD.

potential transport disruptions to key shipping routes could renew supply-side pressures.

Global equity markets in February registered range-bound movement (Chart II.6a). Euro area

Chart II.6: Global Financial Markets



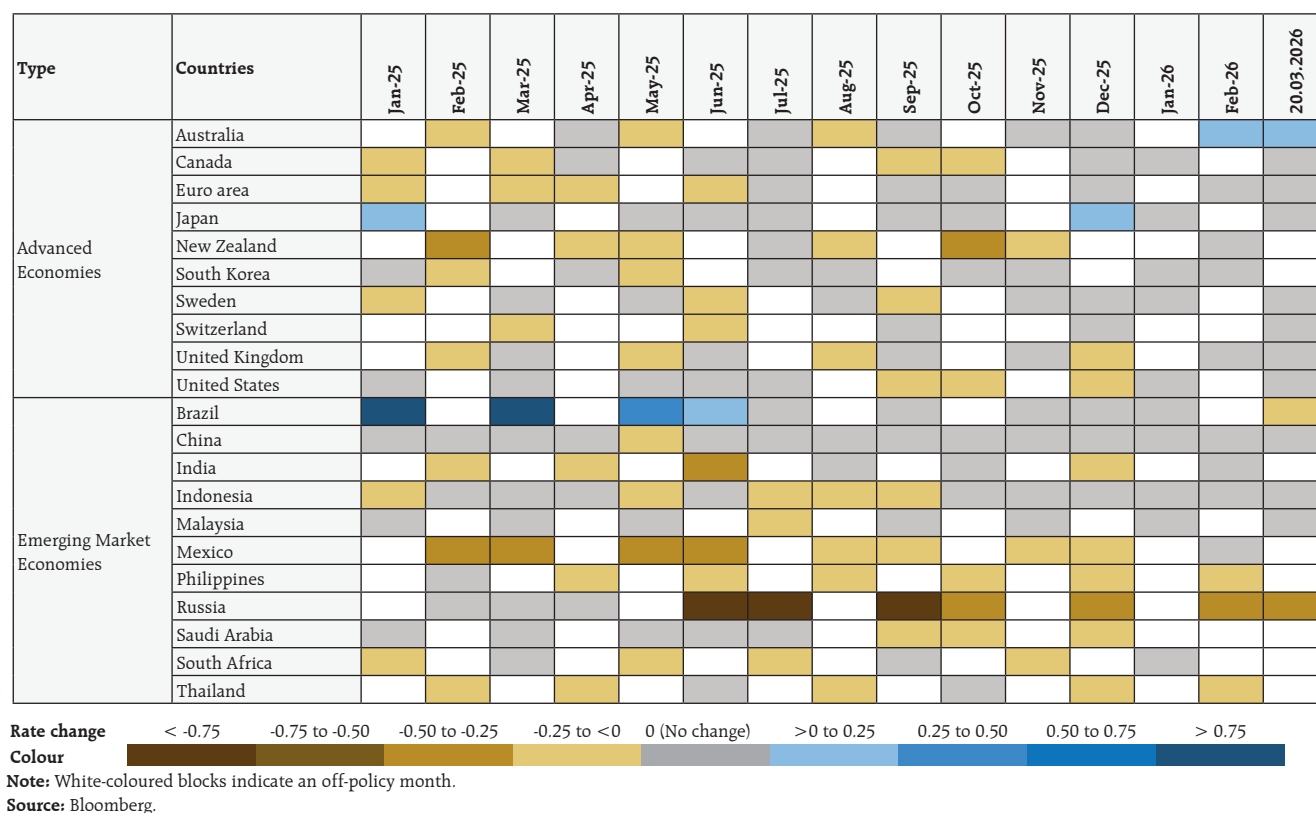
equities advanced on signs of an economic pick-up and portfolio reallocation away from the US stocks. Japanese equities posted gains on expectations of political stability and pro-growth policies. Chinese stocks rose on policy support and easing trade tensions. In contrast, the US S&P 500 declined moderately amidst concerns over high valuation of artificial intelligence (AI) companies and weaker-than-expected Q4:2025 growth. In March, however, all major global equity indices came under selling pressure following the Middle East crisis.

The US 10-year Treasury yield declined in February following a softer-than-expected inflation print, with the fall reinforced by safe-haven demand amidst volatility in stocks of AI companies and renewed trade policy uncertainty. Yields rose sharply in March as inflationary risks from the Middle East conflict

took the centre stage, though safe-haven demand for the US securities cushioned it to some extent. The emerging market bond yields spread remained broadly steady for most of February due to softer US yields and emerging geopolitical risks. In March, the spreads widened on reassessment of risks as tensions intensified (Chart II.6b). The US dollar index generally remained range-bound in February, but it strengthened sharply in March amidst safe-haven demand for US assets (Chart II.6c). Portfolio flows to emerging markets declined sharply in February amidst a deterioration in global risk sentiment, prompting a retreat from emerging markets (Chart II.6d).

In February–March, most systemic central banks maintained a *status quo* on interest rates, reflecting persistent upside risks to inflation and lingering geopolitical uncertainties (Chart II.7). In February,

Chart II.7: Most Systemic Central Banks Kept Policy Rates Unchanged in February–March



among AEs, the UK, the Euro area, New Zealand and South Korea kept their policy rates unchanged, while Australia raised its benchmark rate as inflation increased to its highest level since August 2024. Among major EMDEs, Brazil, China, Indonesia and Mexico kept their policy rates unchanged. In March so far, major AEs including the US, the UK, the Euro area, Japan, Switzerland, Sweden, and Canada kept their policy rates unchanged, while Australia raised its rate by 25 bps for the second consecutive month. Among major EMDEs, China, Malaysia, and Indonesia kept rates unchanged, while Brazil and Russia cut their policy rates.

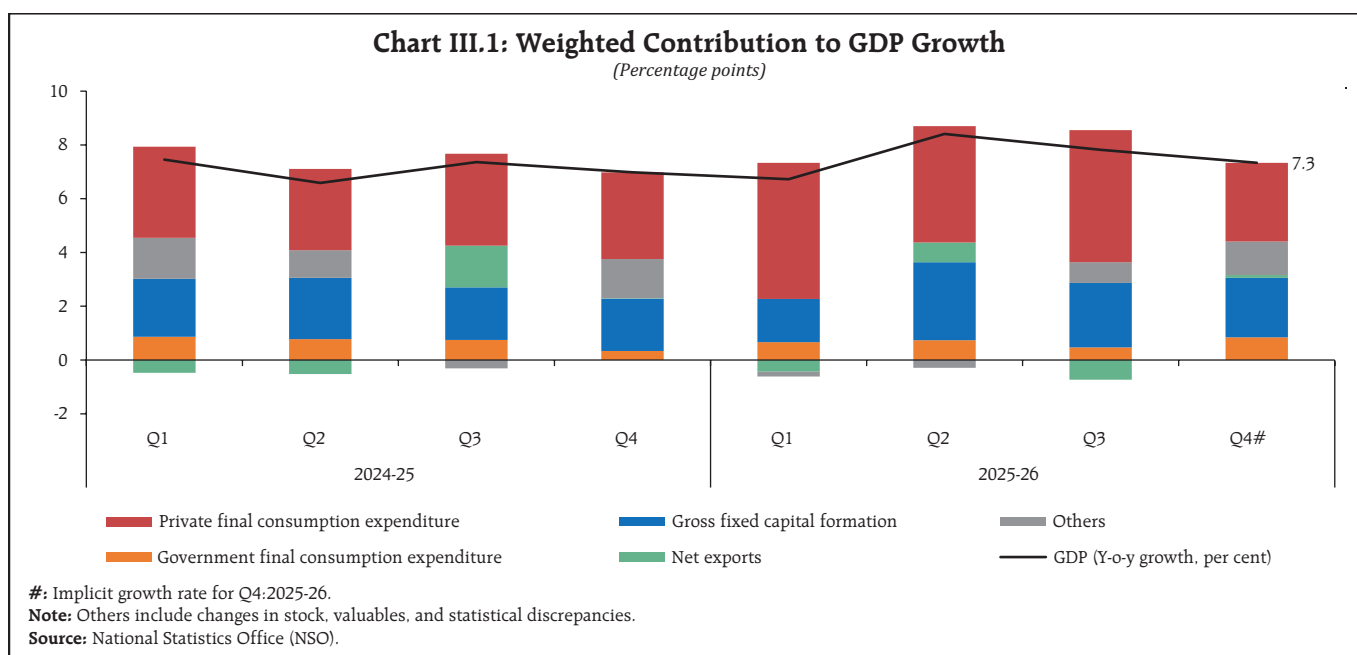
III. Domestic Developments

The second advance estimates of gross domestic product (GDP) for 2025-26, with the new base year 2022-23, indicate continued resilience in growth in line with the previous estimates. High frequency indicators signal economic activity gaining momentum in February. Industrial activity recorded robust growth, while the services sector remained resilient.

Aggregate Demand

The new GDP series with the revised base year of 2022-23 was released on February 27, 2026. The new series has improved the economic estimates by integrating several new data sources such as the goods and services tax (GST), public financial management system (PFMS), annual survey of unincorporated sector enterprises (ASUSE), periodic labour force survey (PLFS) and e-Vahan. Key reforms include revising the base year of GDP from 2011-12 to 2022-23, strengthening the measurement of the informal and services sectors, use of double deflation for manufacturing sector and introduction of supply and use tables to reduce statistical discrepancies (For further details see Annex Box A).

According to the new series, the Indian economy remained robust, with real GDP growth accelerating to 7.6 per cent in 2025-26 from 7.1 per cent a year ago amidst heightened global uncertainty. The growth was driven by strong domestic demand, with private final consumption expenditure maintaining momentum and investment activity remaining robust.



The quarterly growth also remained high at 7.8 per cent in Q3:2025-26, despite moderation in net exports due to dampening of merchandise exports following weak global trading environment including the higher US tariffs (Chart III.1 and Annex Table A2).⁴

Economic activity picked up pace in February, as evidenced by high-frequency indicators of fuel consumption, trade and logistics. E-way bills continued to exhibit double-digit growth supported by GST rate rationalisation. GST revenue strengthened, reflecting sustained demand and economic activity.⁵ Petroleum consumption recorded stronger growth, supported by a favourable base effect. Digital payments sustained steady growth in terms of both transaction value and

volume. However, electricity demand moderated, primarily due to lower usage of heating appliances amidst above normal winter temperatures during February. Toll collections continued with the declining trend after the introduction of the FASTag Annual Pass scheme in August 2025⁶ (Table III.1).

Both urban and rural markets supported strong demand, aided by lower income tax and GST rates, cash flows from the *kharif* harvest, and the wedding season. The automobile sector continued to build on the positive momentum following the GST reforms. Retail sales of two-wheelers, passenger vehicles, and tractors reached their highest-ever levels for February (Table III.2).

Table III.1: Overall Economic Activity Picked up Pace

Indicator	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26
GST E-way bills	14.7	20.2	23.4	18.9	19.3	25.8	22.4	21.0	8.2	27.6	23.5	15.8	18.8
GST revenue	9.2	10.6	13.3	17.3	6.5	8.2	6.9	10.0	7.6	0.7	6.1	6.2	8.1
Toll collection	18.7	11.9	16.6	16.4	15.5	14.8	12.7	4.5	4.6	2.9	0.4	-1.8	-8.7
Electricity demand	2.4	5.7	2.8	-4.8	-2.3	2.6	3.8	3.5	-5.8	-0.6	5.8	3.8	1.5
Petroleum consumption	-5.2	-3.1	0.2	1.1	0.5	-4.4	4.8	7.0	-1.5	0.6	4.6	2.8	5.8
<i>Of which</i>													
Petrol	5.0	5.7	5.0	9.2	6.8	5.9	5.5	8.0	7.4	2.6	7.1	6.1	6.1
Diesel	-1.3	0.9	4.2	2.1	1.5	2.4	1.2	6.5	-0.3	4.8	5.2	3.3	4.3
Aviation turbine fuel	4.2	5.7	3.9	4.4	3.3	-2.3	-2.9	-0.8	2.1	5.4	0.3	5.5	4.0
Digital payments – volume growth	26.7	30.8	30.0	29.2	28.3	30.9	31.1	28.1	21.5	30.2	26.8	25.4	20.8
Digital payments – value growth	9.5	17.3	18.4	12.6	17.4	16.6	5.3	13.4	8.8	14.7	15.2	11.3	18.1

<< Contraction ----- Expansion >>

Notes: 1. The y-o-y growth (in per cent) has been calculated for all indicators.

2. The heatmap is applied on data from April 2023 to the latest month for which data is available.

3. For digital payments, heatmap is applied on data from April 2024 to the latest month for which data is available. Digital payments data for February 2026 are provisional.

4. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.

Sources: Goods and Services Tax Network (GSTN); RBI; Central Electricity Authority (CEA); National Payments Corporation of India (NPCI); and Ministry of Petroleum and Natural Gas, GoI.

⁴ During Q3:2025-26, merchandise exports recorded a lower growth (y-o-y) of 2.1 per cent and services exports growth stood higher at 7.5 per cent.

⁵ Gross GST revenue includes three components- IGST, CGST, and SGST.

⁶ The annual pass allowed users to make up to 200 trips or travel for a year at a fixed fee, reducing per-trip toll revenue across plazas.

Table III.2: Demand Conditions Strengthened Further

	Indicator	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26
Urban demand	Domestic air passenger traffic	12.1	9.9	9.7	2.6	3.7	-2.5	-0.5	-2.5	3.5	7.0	-4.9	3.1	-0.4
	Retail passenger vehicle sales	-10.3	6.3	1.6	-3.1	2.5	-0.8	0.9	5.8	10.7	20.4	26.6	7.2	26.1
Rural demand	Retail automobile Sales	-7.2	-0.7	2.9	5.4	4.8	-4.3	2.8	5.2	40.5	2.1	14.6	17.6	25.6
	Retail tractor sales	-14.5	-5.7	7.6	2.8	8.7	11.0	30.1	3.6	14.2	56.5	15.8	22.9	36.4
	Retail two-wheeler sales	-6.3	-1.8	2.3	7.3	4.7	-6.5	2.2	6.5	51.8	-3.1	9.5	20.8	25.0

< Contraction ----- Expansion >

- Notes:** 1. The y-o-y growth (in per cent) has been calculated for all indicators.
 2. The heatmap is applied on data from April 2023 to the latest month for which data is available.
 3. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.
 4. The data on domestic air passenger traffic for February 2026 growth rate is calculated by aggregating daily data.
 5. Data for retail automobile sales consists of sales of two wheelers, three wheelers, passenger vehicles, tractors, and commercial vehicles.

Sources: Airports Authority of India; Federation of Automobile Dealers Associations (FADA); and Ministry of Rural Development, GoI.

The all-India unemployment rate declined marginally in February, driven by improvement in urban areas.⁷ The labour force participation rate remained steady, while worker population ratio marginally increased, due to a rise in both rural and urban areas. The PMI employment indices for manufacturing and services edged up in February.

The Naukri JobSpeak Index also showed double digit growth in white-collar hiring, led by insurance, BPO/ITES and real estate. The demand for work under the Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGS) continued to decline for the eighth consecutive month, underscoring the resilience of rural employment conditions and alternate job opportunities (Table III.3).

Table III.3: Robustness in High Frequency Indicators for Employment

Indicator	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26
Unemployment rate (PLFS: All-India)			5.1	5.6	5.6	5.2	5.1	5.2	5.2	4.7	4.8	5.0	4.9
Unemployment rate (PLFS: Rural)			4.5	5.1	4.9	4.4	4.3	4.6	4.4	3.9	3.9	4.2	4.2
Unemployment rate (PLFS:Urban)			6.5	6.9	7.1	7.2	6.7	6.8	7.0	6.5	6.7	7.0	6.6
Naukri JobSpeak Index	4.0	-1.5	8.9	0.3	10.5	6.8	3.4	10.1	-9.3	23.5	13.2	3.4	11.9
PMI Employment: Manufacturing	54.5	53.4	54.2	54.9	55.1	53.3	53.1	52.1	52.4	50.9	50.5	51.1	51.5
PMI Employment: Services	56.2	52.5	53.9	57.1	55.1	51.4	52.2	51.9	51.4	51.6	49.8	50.8	51.6
MGNREGS: Work Demand	2.8	2.2	-6.5	4.4	4.4	-12.3	-26.2	-27.1	-35.1	-32.0	-28.9	-25.7	-14.1

< Contraction ----- Expansion >

- Notes:** 1. All PLFS indicators are in the current weekly status and for people aged 15 years and above.
 2. The y-o-y growth (in per cent) has been calculated for the Naukri index and MGNREGS work demand.
 3. The heatmap is applied to data from April 2023 to February 2026.
 4. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.
 5. All PMI values are reported in index form. A PMI value >50 denotes expansion, <50 denotes contraction and =50 denotes 'no change'. In the PMI heatmaps, red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.
 6. MGNREGS is encoded in inverse scale- lowest is marked in green, highest is marked in red.

Sources: Ministry of Statistics and Program Implementation (MoSPI), Ministry of Rural Development, GoI; Info Edge; and S&P Global.

⁷ https://www.mospi.gov.in/uploads/latestReleases/latest_release_1773656412390_eb4f2341-e1bd-49ec-a2f3-984a3a792350_Monthly_Press_Note_February_26_FV_16.03.2026.pdf

During April-January 2025-26, all the key deficit indicators of the Centre as per cent of revised estimates (RE) were lower than the corresponding period of the previous financial year (Chart III.2a).⁸ The lower fiscal deficit during April-January 2025-26 was primarily driven by double digit growth in net tax revenue, and a modest growth in revenue expenditure.⁹ Growth in net tax revenue was higher due to the accelerated growth in corporation tax, customs and union excise duties.¹⁰ Capital expenditure grew at more than twice the pace recorded in the corresponding period of the previous year, reflecting government's focus on expenditure quality.

The deficit indicators of states during April-January 2025-26, as a proportion of budget estimates for the financial year, are higher than the last year

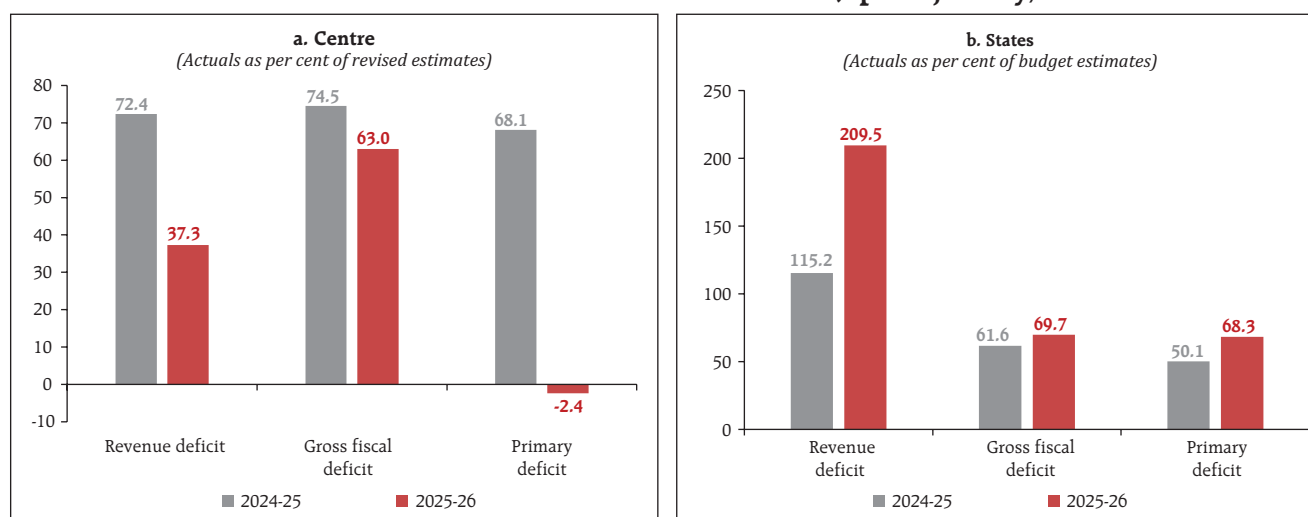
(Chart III.2b). The higher gross fiscal deficit was primarily on account of moderation in revenue receipts relative to their budget estimates. Within revenue receipts, SGST growth decelerated, while state excise remained strong. States' revenue expenditure grew at a slower pace than a year ago, while capital expenditure recorded a turnaround from last year's contraction.

Trade

India's merchandise exports and imports have expanded during 2025-26 so far.¹¹ During 2025-26 (April-February), the merchandise trade deficit stood higher than the last year, primarily driven by petroleum products, electronic goods, and gold.¹²

In February 2026, trade deficit moderated on a sequential basis. However, when compared

Chart III.2: Government Deficit Indicators (April – January)



Notes: 1. The negative primary deficit, as per cent of revised estimates, indicates a primary surplus.

2. Data pertain to 25 States/UTs.

Sources: Controller General of Accounts (CGA); Comptroller and Auditor General of India; and Union Budget Documents.

⁸ As per the latest data released by the Controller General of Accounts (CGA).

⁹ During April-January 2025-26, the net tax revenue and revenue expenditure increased by 10.0 per cent and 1.3 per cent, respectively, as compared to a growth of 1.3 per cent and 6.8 per cent, respectively, in the same period of last financial year.

¹⁰ During April-January 2025-26, corporation tax, union excise duty, and customs collections expanded by 14.7, 10.0 and 15.5 per cent respectively as compared to a growth of -0.6, -1.3 and 8.6 per cent registered respectively, in the same period of last financial year.

¹¹ 17 out of 30 major commodities (accounting for 61.5 per cent of exports basket) and 19 out of 30 major commodities (accounting for 50.8 per cent of imports basket) registered expansion in 2025-26 (April-February).

¹² The merchandise trade deficit during 2025-26 (April-February) was at US\$ 310.6 billion as against US\$ 261.8 billion during 2024-25 (April-February).

to February 2025, the merchandise trade deficit registered an increase reflecting a sharp rise in imports alongside marginal contraction in exports (Chart III.3).¹³ The high expansion of imports was primarily driven by triple-digit growth in gold imports. Imports from Switzerland surged mainly due to gold imports, while those from Russia contracted due to crude oil diversification. Contraction in total exports was mainly led by petroleum products. Exports to the US and the Netherlands contracted, while exports to China continued to grow in double digits.¹⁴

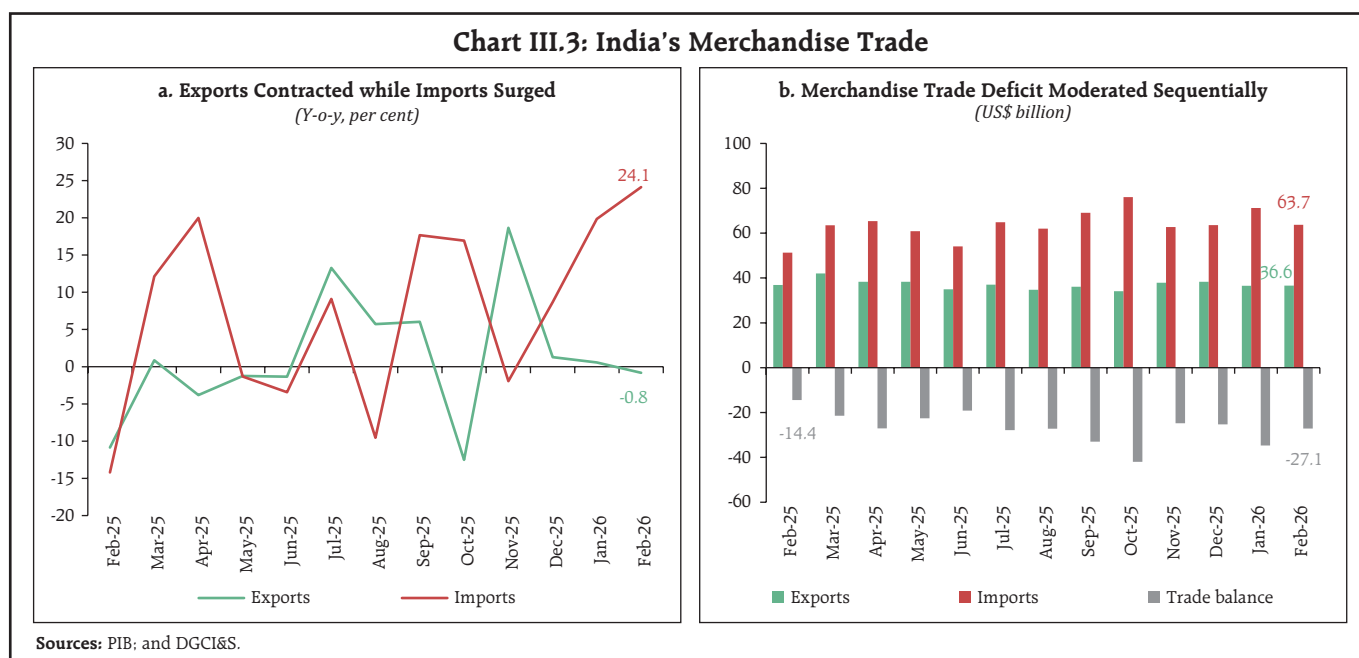
Net services exports grew at a healthy pace in January, with exports rising and imports declining

(Chart III.4).¹⁵ Growth in business, software, and travel fuelled services exports while decline in transportation led to a contraction in services imports.

Aggregate Supply

On the supply side, real gross value added (GVA) growth firmed up to 7.7 per cent in 2025-26 from 7.3 per cent a year ago, propelled by a buoyant services sector and an improvement in the industrial activity.

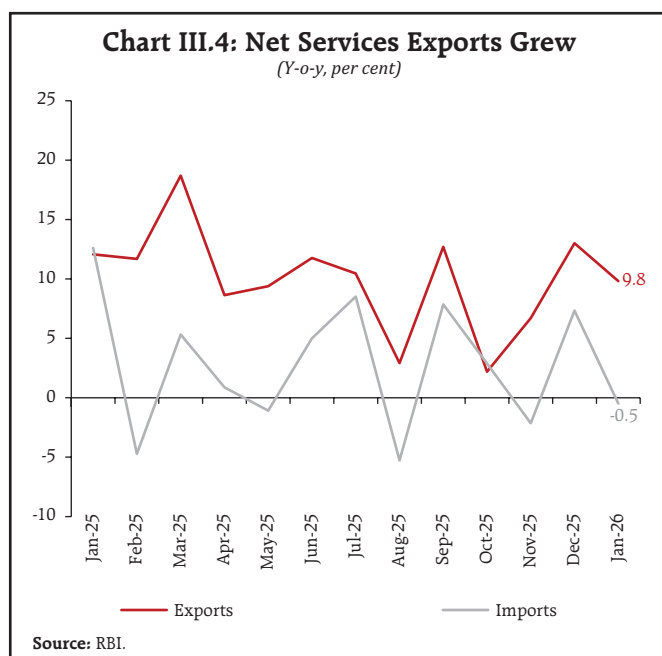
The real GVA growth remained strong at 7.8 per cent in Q3:2025-26. Services growth strengthened with a broad-based expansion across trade, transport and



¹³ The merchandise trade deficit widened to US\$ 27.1 billion in February 2026 from US\$ 14.4 billion in February 2025, even though it was lower than US\$ 34.7 billion in January 2026. Merchandise exports stood at US\$ 36.6 billion in February 2026 [decrease of 0.8 per cent (y-o-y)], marginally higher than US\$ 36.5 billion in January 2026. Key segments such as petroleum products, readymade garments of all textiles, spices, plastic and linoleum; and iron ore dragged the exports down, while engineering goods, electronic goods, organic and inorganic chemicals; gems and jewellery; and meat, dairy and poultry supported exports. Exports to 9 of the top 20 major destinations contracted, including the US, the UAE and the Netherlands, while growing to China, Germany, and Hong Kong. Merchandise imports stood at US\$ 63.7 billion in February 2026 [expansion of 24.1 per cent (y-o-y)], however, lower than US\$ 71.2 billion in January 2026. Gold; electronic goods; silver; crude oil and petroleum products; and machinery drove the imports, while transport equipment; pulses; chemical material and products contributed negatively to import growth during the month. Imports from 15 of the 20 major destinations expanded, including from China, Switzerland and the UK, while contracting from Russia, the UAE and Thailand.

¹⁴ Exports to China increased by 32.4 per cent (y-o-y) in February 2026, as against a contraction of 22.0 per cent in February 2025. Export growth to China in 2025-26 (April-February) was 37.7 per cent (y-o-y), as against a contraction of 15.7 per cent in 2024-25 (April-February).

¹⁵ Net services exports grew by 19.4 per cent (y-o-y) to US\$ 21.5 billion in January 2026 from US\$ 18.0 billion in January 2025. During April 2025 - January 2026, net services exports increased to US\$ 177.8 billion from US\$ 153.6 billion during the corresponding period last year.



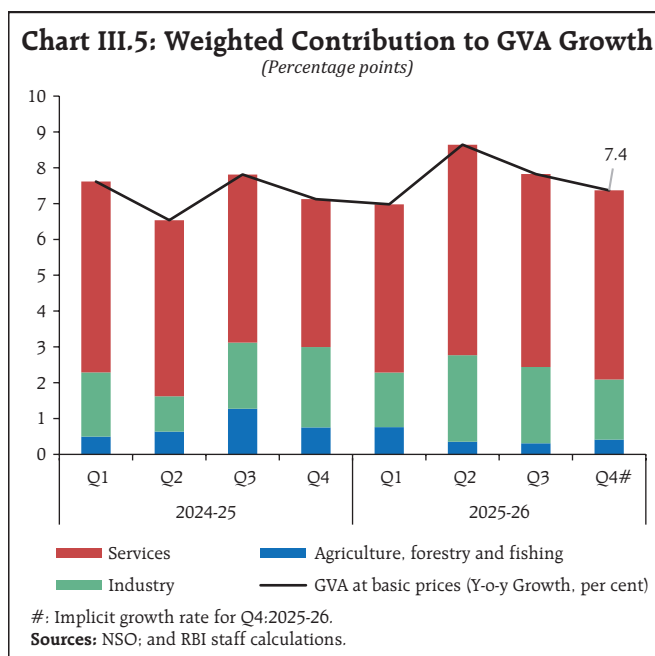
hotels and restaurants; and financial, real estate and professional services. Industrial GVA growth surged led by strong manufacturing sector performance. Improved profitability of listed manufacturing firms supported the growth in manufacturing. Growth in agriculture and allied activities moderated in Q3 (Chart III.5 and Annex Table A3).

Agriculture

The second advance estimates of the agriculture crop production (*kharif* and *rabi*) placed total foodgrains production at a record level in 2025-26 (Chart III.6).¹⁶ This year is marked by the record production of *kharif* rice, wheat, maize, *kharif* groundnut, rapeseed and mustard, and sugarcane. Additionally, based on the first advance estimates, the horticulture crops also recorded highest ever production in 2025-26.¹⁷

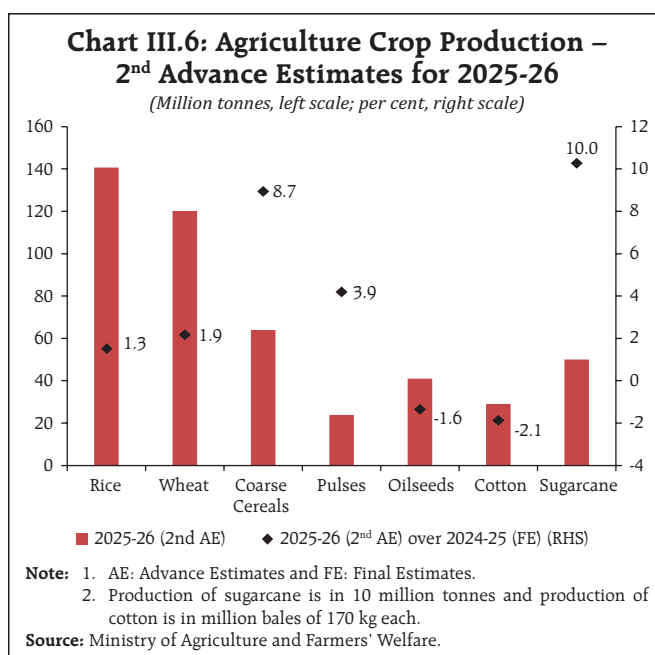
¹⁶ The foodgrains production in 2025-26 (*kharif* and *rabi*) stood at 348.7 million tonnes, which is 3.0 per cent higher than the final estimates (*kharif* and *rabi*) of 2024-25.

¹⁷ The production of horticultural crops during 2025-26 is placed at 370.8 million tonnes which is marginally higher (0.03 per cent) than the final estimates of 2024-25.



Monthly Indicators of Industrial Activity

Industrial activity, as measured by the year-on-year change in the Index of Industrial Production (IIP), moderated in January from the 26-month high recorded in the previous month. The manufacturing sector decelerated, as gains in metals and motor vehicles were partly offset by weaker performance in pharmaceuticals, apparels, and textiles.



Infrastructure/construction goods registered their fastest growth since mid-2023, reflecting sustained momentum in government capital expenditure and public infrastructure projects. In February, the index of eight core industries moderated but continued to show resilience.

High-frequency indicators of industrial activity for February remained robust. Manufacturing PMI increased to a four-month high, on account of higher output and new orders as stronger domestic demand supported fresh business inflows. Automobile production continued to record strong growth across major segments [Table III.4].

At the aggregate, the operating profit growth of listed private non-financial companies improved during Q3:2025-26, primarily driven by stronger performance of manufacturing and IT sector companies (Chart III.7a). Among major industries, non-ferrous metals, electrical machinery, automobiles, food products and cement industries recorded double digit growth in their operating profits (Chart III.7b).

Above normal temperatures in most parts of the country may raise energy consumption during the summer months.¹⁸ India's rapid expansion of electricity generation from renewable sources, particularly

Table III.4: High Frequency Indicators for Industry Remained Robust

Indicator	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26
IIP-Headline	2.7	3.9	2.6	1.9	1.5	4.3	4.1	4.6	0.5	7.2	8.0	4.8	
IIP Manufacturing	2.8	4.0	3.1	3.2	3.7	6.0	6.6	-0.4	-1.8	5.8	6.9	4.3	
IIP capital goods	8.2	3.6	14.0	13.3	3.0	6.8	4.5	5.4	2.1	10.1	8.3	4.3	
PMI Manufacturing	56.3	58.1	58.2	57.6	58.4	59.1	59.3	57.7	59.2	56.6	55.0	55.4	56.9
PMI Export Order	56.3	54.9	57.6	56.9	60.6	57.3	56.1	56.5	54.7	54.1	54.0	54.1	53.2
PMI Manufacturing: Future Output	64.9	64.4	64.6	63.1	62.2	57.6	60.5	64.8	62.3	57.1	56.9	56.4	57.9
Eight Core Index	3.4	4.5	1.0	1.2	2.2	3.7	6.5	3.3	-0.1	2.1	4.7	4.7	2.3
Electricity generation: Conventional	2.4	4.8	-1.8	-8.2	-6.1	-0.8	1.0	0.8	-10.6	-5.0	4.4	2.2	-1.6
Electricity generation: Renewable	12.2	25.2	28.0	18.2	28.7	26.4	22.7	16.4	21.4	22.9	18.0	22.9	
Automobile Production	2.3	6.5	-1.7	5.2	1.2	10.7	8.1	10.8	-2.8	22.3	37.1	15.0	22.1
Passenger vehicle production	4.5	11.2	10.8	5.4	-1.8	0.1	-4.1	16.1	9.8	22.8	23.1	5.6	9.8
Tractor production	-7.8	18.5	20.5	9.1	9.8	11.5	9.4	23.0	13.0	37.5	57.9	14.6	80.0
Two-wheelers production	1.6	5.6	-4.1	4.7	1.4	12.3	10.0	9.8	-5.6	20.9	39.9	16.1	24.4
Three-wheelers production	6.5	6.0	4.1	16.9	8.6	24.0	15.8	15.9	15.9	55.4	39.6	33.2	29.9
Crude steel production	6.0	8.5	9.3	11.0	12.6	13.8	12.8	13.7	8.9	11.1	10.8	10.5	10.2
Finished steel production	6.7	10.0	6.6	7.0	10.9	13.8	13.8	14.0	7.2	12.4	10.9	11.0	8.0
Import of capital goods	1.7	8.6	24.5	15.7	3.4	13.3	0.2	12.7	8.5	12.8	13.0	7.1	17.0

<<Contraction ----- Expansion>>

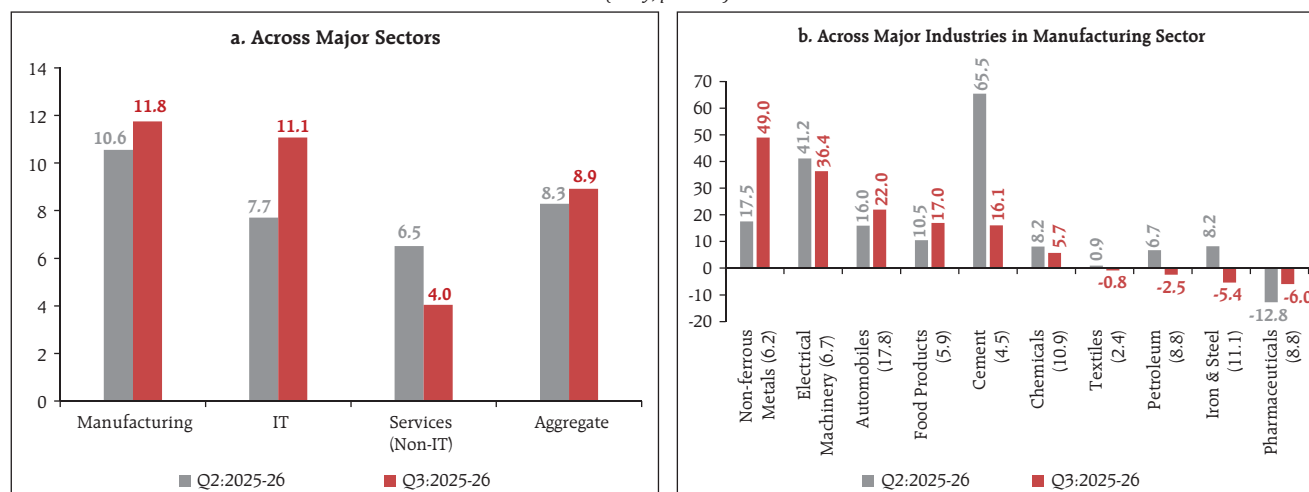
- Notes:** 1. The y-o-y growth (in per cent) has been calculated for all indicators (except for PMI).
 2. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.
 3. The heatmap is applied on data from April 2023 to the latest month for which data is available.
 4. All PMI values are reported in index form. A PMI value >50 denotes expansion, <50 denotes contraction and =50 denotes 'no change'. In the PMI heatmaps, red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.

Sources: Ministry of Statistics and Programme Implementation (MoSPI); S&P Global; Central Electricity Authority (CEA), Ministry of Power; Society of Indian Automobile Manufacturers (SIAM); Office of Economic Adviser, GoI; Joint Plant Committee; Directorate General of Commercial Intelligence & Statistics; and Tractor and Mechanisation Association.

¹⁸ https://internal.imd.gov.in/press_release/20260228_pr_4773.pdf

Chart III.7: Operating Profit Growth - Listed Private Non-Financial Companies

(Y-o-y, per cent)



Notes: 1. Data are based on results of 3,188 listed non-government non-financial companies in Q3:2025-26.

2. Figures in parentheses represent operating profit share (in per cent) of industry during Q3:2025-26.

Sources: Capitaline database; and RBI staff calculations.

solar power, could play a crucial role in meeting the country's rising power demand¹⁹ (Chart III.8).

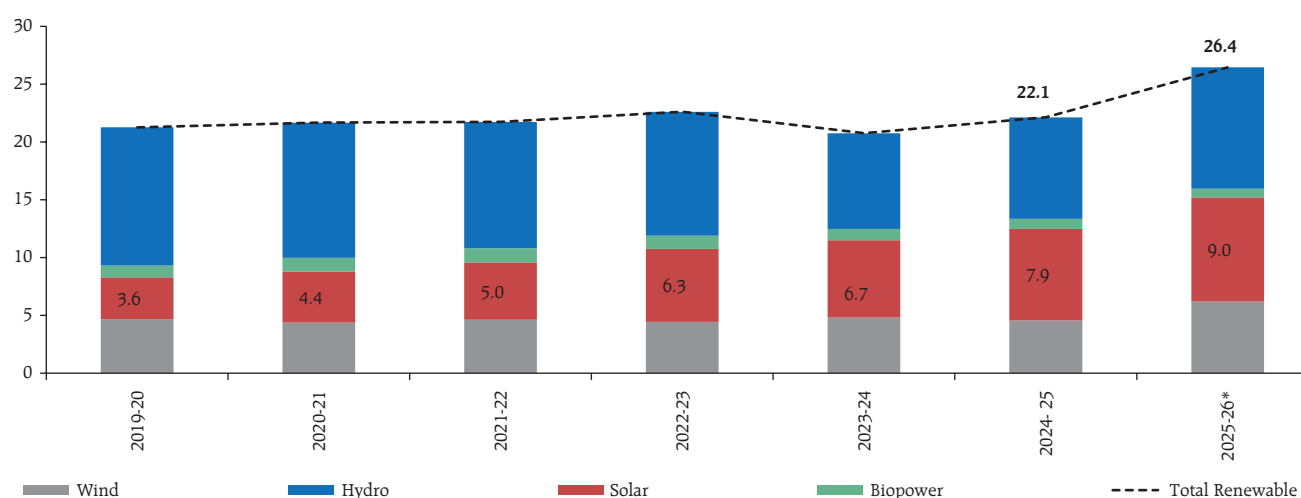
Monthly Indicators of Services Activity

India's services sector remained resilient in February. Services PMI continued to record strong

expansion. Commercial vehicle sales grew at their fastest pace in over three years supported by improved freight availability, steady e-commerce activity, and infrastructure-driven demand. Port cargo traffic moderated due to contractions in thermal coal, iron ore and fertiliser cargo (Table III.5).

Chart III.8: Electricity Generation from Renewable Resources

(Per cent of total electricity generation)



Note: *: Up to January 2026.

Source: Central Electricity Authority; and NITI Aayog Climate and Energy Dashboard.

¹⁹ As at end February 2026, solar energy accounts for 54 per cent of the total installed renewable energy capacity.

Table III.5: High Frequency Indicators for Services Remained Resilient

Indicator	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26
PMI Services	59.0	58.5	58.7	58.8	60.4	60.5	62.9	60.9	58.9	59.8	58.0	58.5	58.1
International Air Passenger Traffic	7.7	6.8	13.0	5.0	3.4	5.5	7.7	7.3	9.7	7.5	6.0	7.1	2.3
Domestic Air Cargo	-2.5	4.9	16.6	2.3	2.6	4.8	7.1	2.8	-2.3	20.5	4.3	8.7	
International Air Cargo	-6.3	3.3	8.6	6.8	-1.2	4.2	4.5	2.3	-2.3	12.7	12.6	8.4	
Port Cargo Traffic	3.6	13.3	7.0	4.3	5.6	4.0	2.5	11.5	11.9	14.5	12.8	7.6	3.8
Retail Commercial vehicle sales	-8.6	2.7	-1.0	-3.7	6.6	0.2	8.6	2.7	21.1	17.0	24.6	15.1	28.9
Steel Consumption	10.8	13.3	6.0	8.1	9.3	7.3	10.0	8.9	2.4	6.0	5.4	4.9	10.9
Cement Production	10.7	12.2	6.3	9.7	8.2	11.6	5.4	5.0	5.2	14.6	13.7	11.3	9.3

< Contraction ----- Expansion >

- Notes:** 1. The y-o-y growth (in per cent) has been calculated for all indicators (except for PMI).
 2. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.
 3. The heatmap is applied to data from April 2023 to the latest month for which data is available.
 4. The data on international air passenger traffic for February 2026 growth rate is calculated by aggregating daily data.
 5. All PMI values are reported in index form. A PMI value >50 denotes expansion, <50 denotes contraction and =50 denotes 'no change'. In the PMI heatmaps, red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.

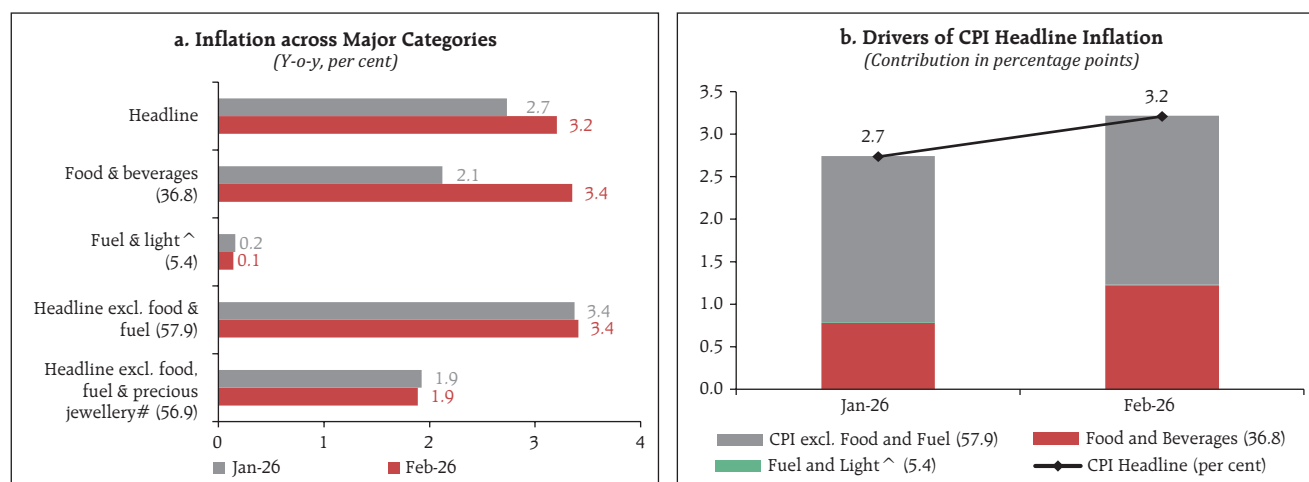
Sources: Federation of Automobile Dealers Associations (FADA); Indian Ports Association; Airports Authority of India; Joint Plant Committee; Office of Economic Adviser; and S&P Global.

Inflation

CPI headline inflation²⁰ increased to 3.2 per cent (y-o-y) in February from 2.7 per cent in January 2026, primarily on account of food and beverages. Core (CPI excluding food and fuel) inflation was steady at

3.4 per cent. Excluding precious metals, core inflation was steady at a lower 1.9 per cent, indicating muted underlying price pressures (Chart III.9).

Within food and beverages division, increase in inflation was driven by 'meat, fresh, chilled or

Chart III.9: Inflation Rates: CPI-Combined Inflation

Notes: 1. CPI-C: Consumer Price Index – Combined; Figures in parentheses indicate weight in CPI-C (2024=100).

2. ^ Fuel and light represents the group 'electricity, gas and other fuels' under the division 'housing, water, electricity, gas and other fuels'.

3. # Precious jewellery includes the items 'gold/diamond/platinum jewellery' and 'silver jewellery'.

Source: NSO, MoSPI; and staff calculations.

²⁰ As per the provisional data released by the National Statistics Office (NSO) on March 12, 2026.

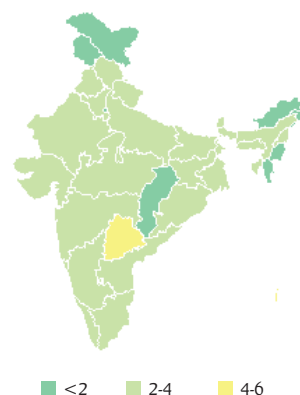
frozen', 'fish and other seafood', 'oils and fats', 'fruits and nuts', 'ready-made food and other food products' and 'vegetables, tubers, plantains, cooking bananas and pulses'. Vegetable prices came out of deflation in February while cereal prices recorded a deflation of (-) 0.3 per cent. 'Paan, tobacco and intoxicants' registered an uptick in inflation due to a hike in GST rates effective February 1, 2026. Precious metals under 'personal care, social protection and miscellaneous goods and services' continued to remain the major drivers of core inflation (Chart III.10).

In terms of spatial distribution, inflation in both urban and rural areas edged up in February. Overall, a broad-based rise in inflation was observed across states/UTs. However, majority of states continued to record inflation below 4 per cent (Chart III.11).

High-frequency food prices data up to 19th March 2026 point towards stable rice prices (month-over-month) even as wheat prices declined. Among

Chart III.11: Spatial Distribution of Inflation: February 2026

(Y-o-y, per cent)



Inflation Range	Number of States/UTs
<2	7
2-4	27
4-6	2

Inflation Trend	Number of States/UTs
Decline or Stable	6
Increase	30

Notes: 1. Map is for illustrative purposes only.

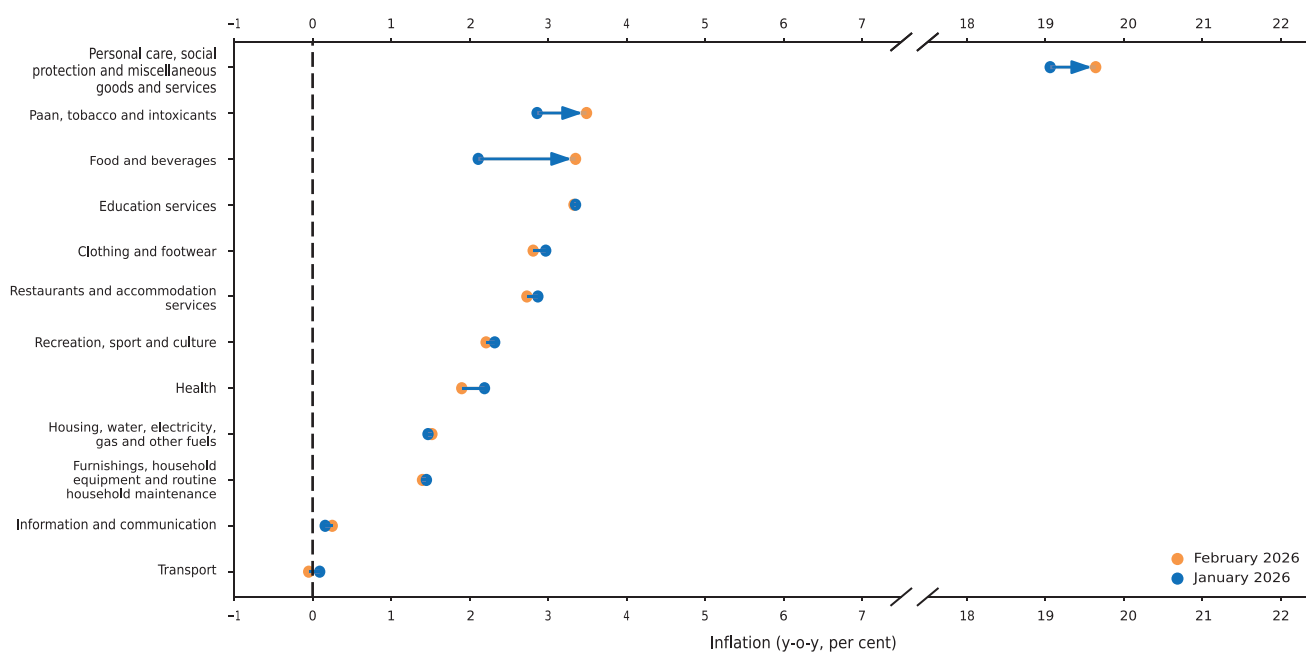
2. Andaman and Nicobar Islands and Lakshadweep experienced inflation of 4.3 per cent and 3.0 per cent, respectively.

Sources: NSO; and RBI staff calculations.

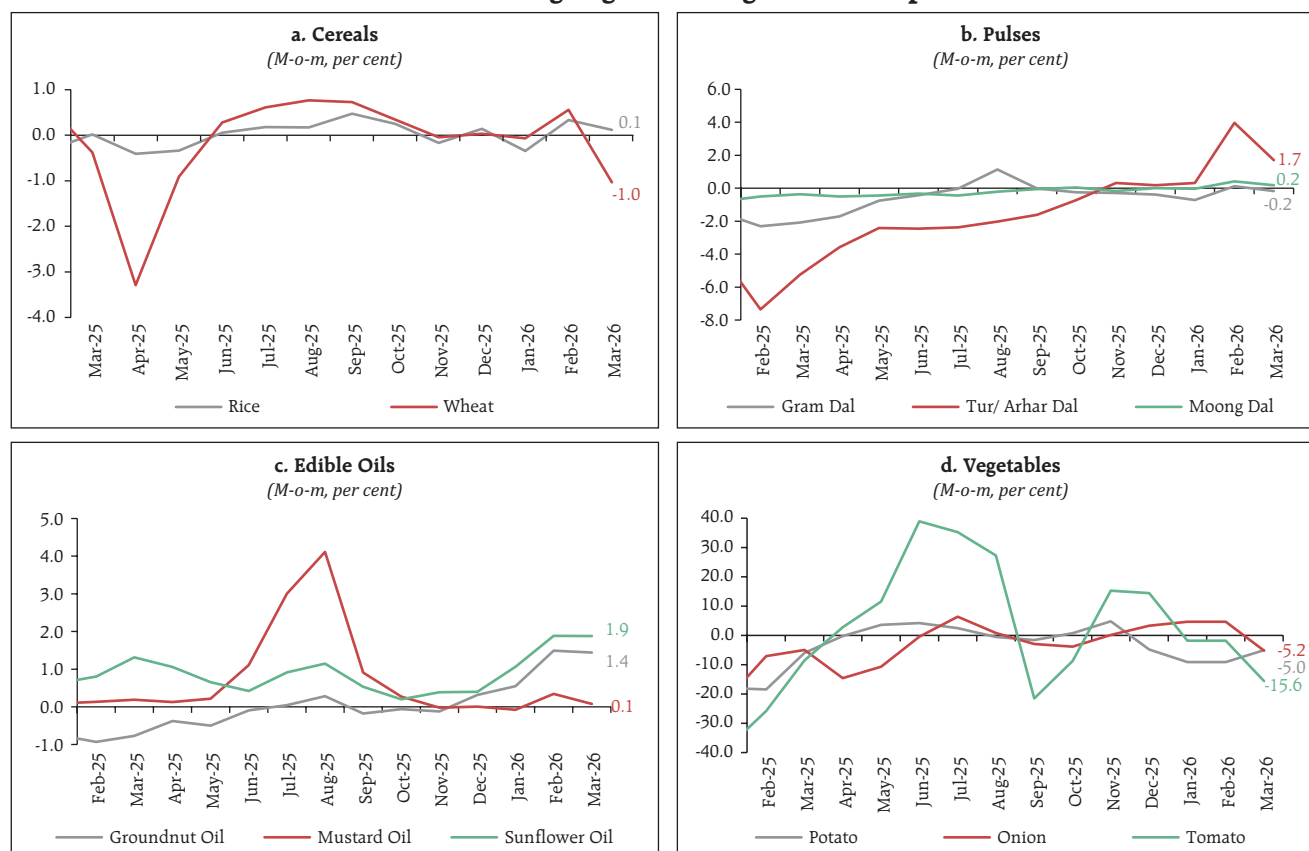
pulses, an increase is observed across *tur/arhar* and *moong dal*. There is a broad-based increase in edible oils prices led by sunflower oil and groundnut oil. On the other hand, among major vegetables, potato, tomato and onion prices softened significantly (Chart III.12).

Chart III.10: Division-wise Change in Inflation Rates

(Y-o-y, per cent)



Source: National Statistics Office (NSO); and RBI staff calculations.

Chart III.12: Food Prices Barring Vegetables Registered an Uptick in March-2026*

Note: *: For the period March 1-19, 2026.

Sources: Department of Consumer Affairs, GoI; and RBI staff calculations.

Retail selling prices of petrol and diesel remained unchanged in March 2026 (up to 19th) while they increased for kerosene and LPG (Table III.6).

The services PMI indicated a sharp increase in the rate of expansion of input prices in February.

Input cost in manufacturing remained in expansion zone but below the long-term average. The rate of expansion in output prices picked up for manufacturing firms, while it moderated for services firms (Chart III.13).

Table III.6: Petroleum Products Prices

Item	Unit	Domestic Prices			Month-over-month (per cent)	
		Mar-25	Feb-26	Mar-26 ^	Feb-26	Mar-26 ^
Petrol	₹/litre	101.0	101.2	101.2	0.0	0.0
Diesel	₹/litre	90.5	90.5	90.5	0.0	0.0
Kerosene (subsidised)	₹/litre	46.2	44.1	46.8	-2.2	6.2
LPG (non-subsidised)	₹/cylinder	813.3	863.3	904.3	0.0	4.8

^: For the period March 1-19, 2026.

Note: Other than kerosene, prices represent the average Indian Oil Corporation Limited (IOCL) prices in four major metros (Delhi, Kolkata, Mumbai and Chennai). For kerosene, prices denote the average of the subsidised prices in Kolkata, Mumbai and Chennai.

Sources: IOCL; Petroleum Planning and Analysis Cell (PPAC); and RBI staff calculations.

Chart III.13: PMI: Input and Output Prices

Note: A level of 50 corresponds to no change in prices, and a reading above 50 denotes expansion and vice versa.

Source: S&P.

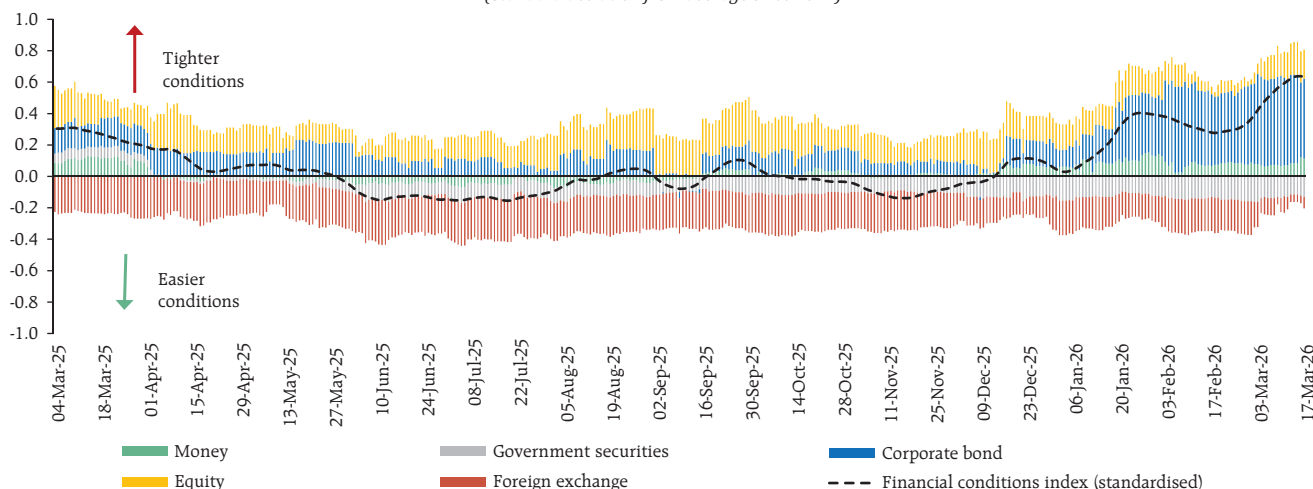
IV. Financial Conditions

Overall financial conditions tightened from the second half of February till March so far (up to 17th), driven by changes in the forex and equity markets segments (Chart IV.1).

System liquidity eased considerably in February due to increased government spending and the RBI's liquidity augmenting measures.²¹ Liquidity conditions continued to remain comfortable in March.²² Reflecting the prevailing easy conditions,

Chart IV.1: Tightening in Financial Conditions

(Standard deviation from average since 2012)

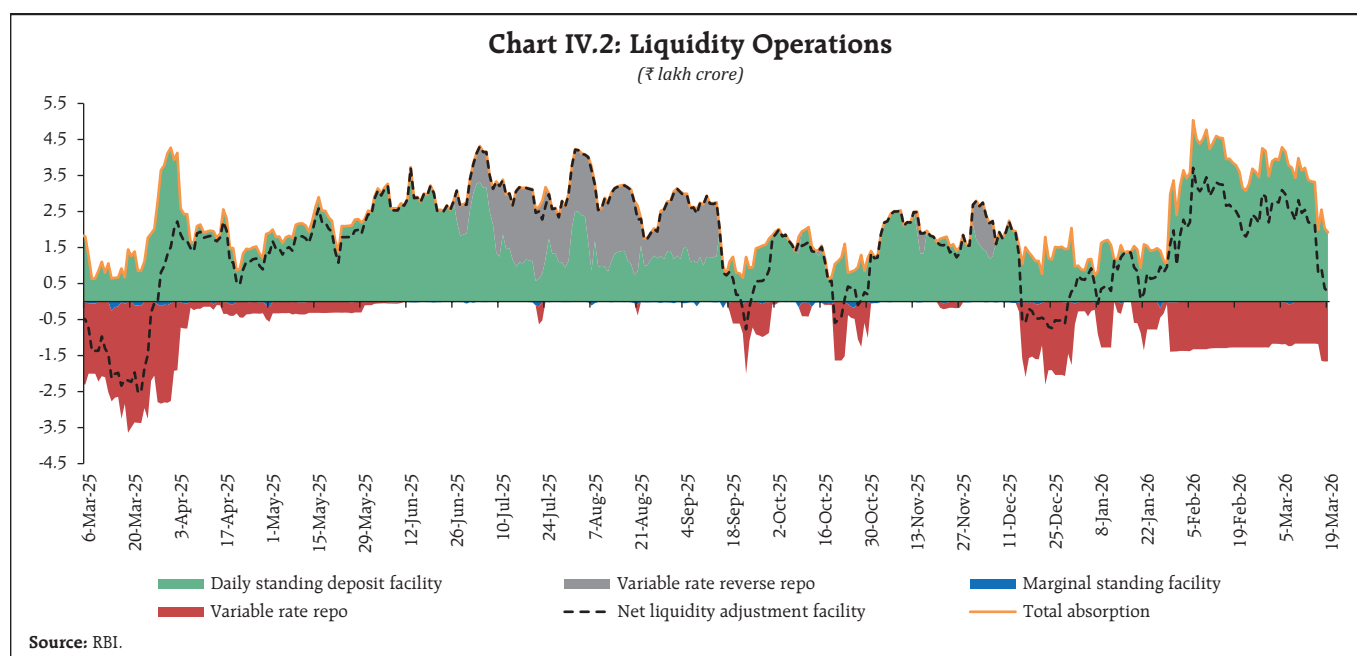


Note: The financial conditions index provides a metric based on its historical average; in this context, a zero value corresponds to a financial system operating at the historical average level of all the financial indicators included in the index. To present the results, standardised index is used.

Source: RBI staff calculations.

²¹ RBI conducted OMO purchase auctions of Government of India securities for an aggregate amount of ₹1.5 lakh crore in three tranches of ₹0.5 lakh crore each on January 22, 2026, January 29, 2026, and February 5, 2026. All auctions saw good demand. USD/INR Buy/Sell Swap Auction of USD 10 billion for a tenor of 3 years held on February 4, 2026 attracted bids roughly two times the notified amount.

²² RBI announced OMO purchase auctions of Government of India securities for an aggregate amount of ₹1.0 lakh crore in two tranches of ₹0.5 lakh crore each which were conducted on March 9 and March 13.

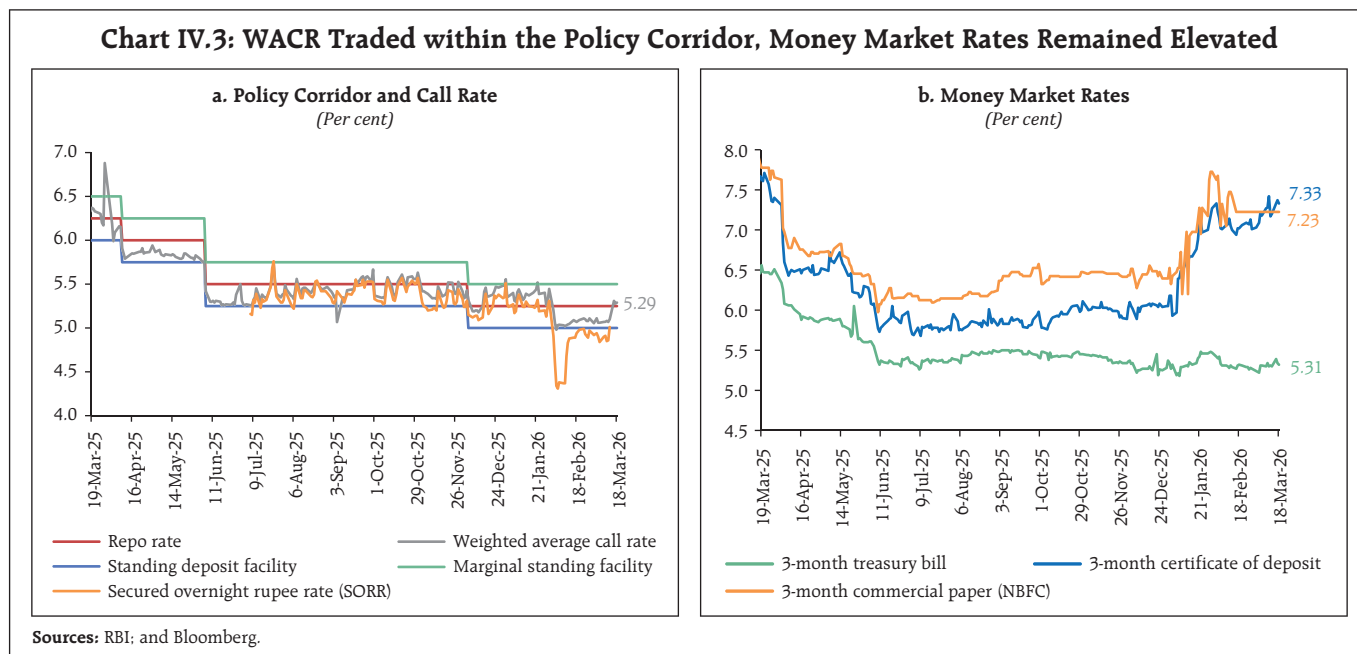


the net absorption under the liquidity adjustment facility remained high in February and the first half of March. System liquidity, however, moderated from March 16 on account of advance tax and GST related outflows (Chart IV.2).²³ Marginal standing facility usage was low and stable, suggesting

that day-to-day liquidity mismatches were minimal and well managed.

Money Market

The weighted average call rate (WACR) hovered in the lower half of the policy corridor during February and first half of March (Chart IV.3a).²⁴



²³ In view of the moderation in system liquidity, the Reserve Bank conducted variable rate repo operations of 7-day and 3-day maturity on March 17 and March 20 respectively.

²⁴ On average, the WACR moderated to 5.11 per cent during February 16, 2026 – March 18, 2026, from 5.22 per cent during the preceding one-month period.

Overnight rates in the collateralised segments – measured by the benchmark secured overnight rupee rate (SORR) – tended to trade below the policy corridor. WACR inched up closer to the repo rate in the second half of March (up to March 18) amidst moderation in surplus liquidity. Money market rates beyond the overnight segment, comprising certificates of deposits and commercial papers, however, remained elevated. The rates on certificates of deposit edged up as banks increased issuances to bridge the year-end funding gaps amidst the rollover of maturing papers. Yields of treasury bills, on the other hand, remained rangebound (Chart IV.3b).²⁵ The average risk premium in the money market (the spread between the yields on 3-month commercial paper and 91-day treasury bills) remained broadly unchanged.

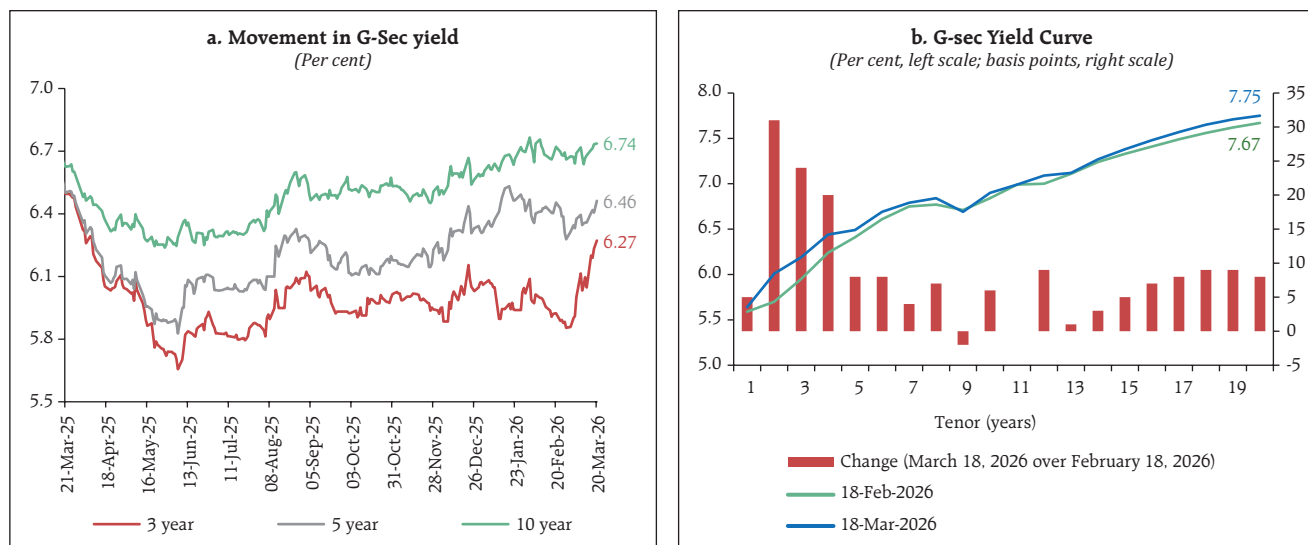
Government Securities (G-Sec) Market

In the other fixed-income segments, dated government security (G-Sec) yields remained largely rangebound with a softening bias in February, but firmed up thereafter on account of the Middle East conflict and the rise in crude oil prices (Chart IV.4a).²⁶ The yields rose more at the shorter end (Chart IV.4b).

Corporate Bond Market

Corporate bond yields and spreads remained elevated till the middle of February, though some moderation was observed subsequently across tenors and the rating spectrum (Table IV.1). Corporate bond issuances declined in January 2026 as compared with December 2025. On a cumulative basis, the total issuances have remained lower in the current financial year till January than in the same period last year.²⁷

Chart IV.4: G-Sec Yields Firmed Up amidst Heightened Geopolitical Tensions



Sources: Bloomberg; and RBI staff calculations.

²⁵ The average yields on 3-month treasury bills and 3-month commercial papers issued by NBFCs softened by 8 bps and 12 bps, respectively while the yields on 3-month certificate of deposit hardened by 11 bps during February 16, 2026 – March 18, 2026, as compared to the period from January 16, 2026 to February 15, 2026.

²⁶ The benchmark 10-year G-sec bond (6.48 GS 2035) yield marginally hardened to 6.74 per cent as on March 20, from 6.68 per cent as on February 13, 2026.

²⁷ Issuances decreased to ₹0.55 lakh crore in January 2026 from ₹0.74 lakh crore in December 2025. On a cumulative basis (April 2025–January 2026), it stood at ₹7.37 lakh crore in 2025–26, lower than ₹7.94 lakh crore in the corresponding period of the previous year.

Table IV.1: Corporate Bonds Yields and Spreads Softened

Instrument	Interest Rates (Per cent)			Spread (bps)		
				(Over Corresponding Risk-free Rate)		
	January 16, 2026 – February 13, 2026	February 16, 2026 – March 18, 2026	Variation	January 16, 2026 – February 13, 2026	February 16, 2026 – March 18, 2026	Variation
1	2	3	(4 = 3-2)	5	6	(7 = 6-5)
(i) AAA (1-year)	7.54	7.31	-23	182	164	-18
(ii) AAA (3-year)	7.31	7.20	-11	123	110	-13
(iii) AAA (5-year)	7.51	7.42	-9	92	94	2
(iv) AA (3-year)	8.29	8.12	-17	220	202	-18
(v) BBB (3-year)	11.91	11.79	-12	582	569	-13

Note: Yields and spreads are computed as averages for the respective periods.

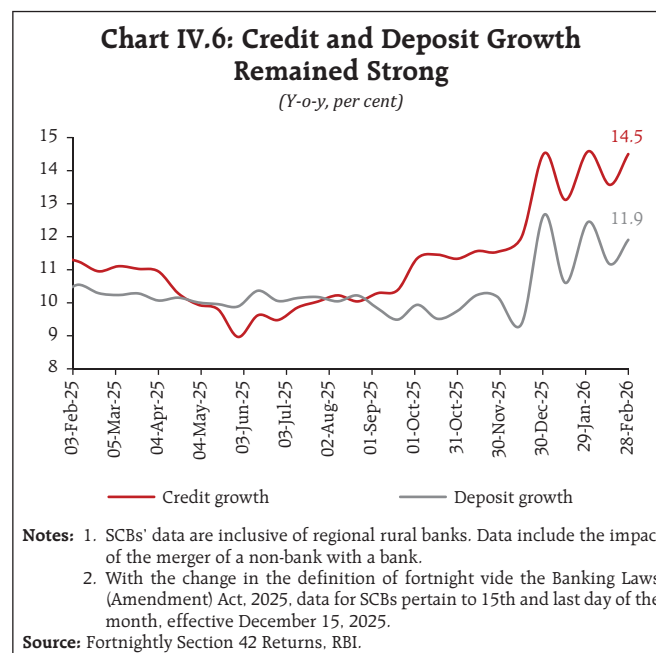
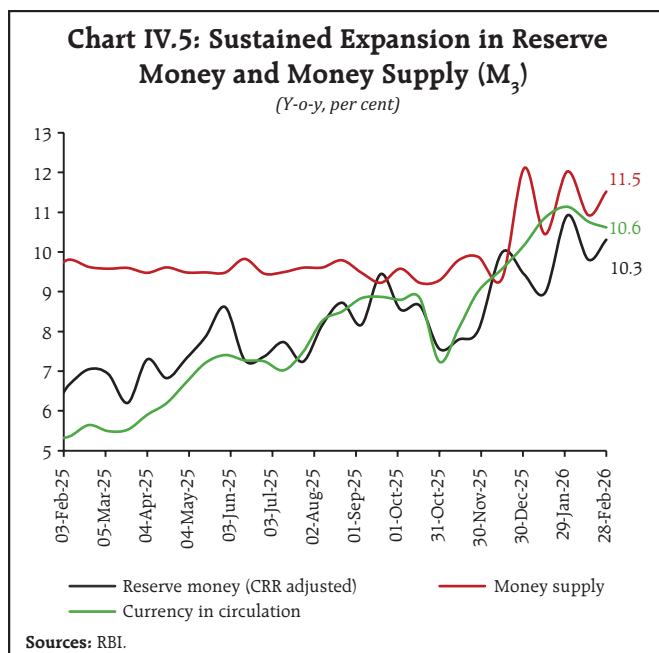
Source: FIMMDA.

Money and Credit

During February 2026, reserve money (adjusted for CRR) largely maintained its growth trajectory, with the currency in circulation expanding at a robust pace since October 2025.²⁸ The growth in money supply also remained high and above the last year's level of expansion (Chart IV.5).²⁹

Scheduled commercial banks' (SCBs') credit and deposit continued to grow in double digits during the month, sustaining the expansion of credit demand since the second half of 2025-26 (Chart IV.6).³⁰

Along with bank credit, the finance from non-bank sources also expanded in 2025-26 (up to February 28). The total flow of financial resources to



²⁸ Reserve money growth (adjusted for the first-round impact of changes in the cash reserve ratio) stood at 10.3 per cent (y-o-y) as on February 28, 2026 as against 10.9 per cent (y-o-y) as on January 31, 2026, and the growth in currency in circulation turned out to be 10.6 per cent (y-o-y) as on February 28, 2026 as against 11.1 per cent (y-o-y) as on January 31, 2026. Growth in currency in circulation was 7.2 per cent (y-o-y) on October 31, 2025.

²⁹ Money supply growth was maintained at 11.5 per cent (y-o-y) as on February 28, 2026 as against 12.0 per cent (y-o-y) as on January 31, 2026.

³⁰ SCBs' credit growth stood at 14.5 per cent (y-o-y) as on February 28, 2026 as against 14.6 per cent (y-o-y) as on January 31, 2026. SCBs' deposit growth turned out to be 11.9 per cent (y-o-y) as on February 28, 2026 as against 12.5 per cent (y-o-y) as on January 31, 2026.

Table IV.2a: Increased Flow of Financial Resources to the Commercial Sector

(₹ lakh crore)

Source	April-March		Up to February 28	
	2023-24	2024-25	2024-25	2025-26 P
A. Non-Food Bank Credit	21.40	17.98	16.74	24.64
B. Non-Bank Sources (B1 + B2)	12.64	17.10	12.72	14.58
B1. Domestic Sources	10.20	13.86	9.70	10.31
B2. Foreign Sources	2.43	3.25	3.01	4.28
C. Total Flow of Resources (A + B)	34.04	35.09	29.46	39.22

P: Provisional.

Notes: 1. Figures in the columns might not add up to the total due to rounding off of numbers.
2. For detailed notes and data, please refer to Current Statistics Table No: 18(a).

Sources: RBI; SEBI; AIFIs; and RBI staff calculations.

the commercial sector increased to ₹39.2 lakh crore from ₹29.5 lakh crore a year ago (Table IV.2a). Non-bank sources – corporate bond issuances, and foreign direct investment to India³¹ – showed a marked increase during the year so far. As of February 28, the total outstanding credit to the commercial sector rose by 14.7 per cent, with non-bank sources registering a growth of 15.6 per cent (Table IV.2b).

In January 2026, non-food bank credit³² growth was well spread out across sectors, though some easing has been observed in agriculture and industry (Chart IV.7). Within industries, lending to micro, small and medium enterprises (MSMEs) continued to improve. Services sector credit growth sustained its momentum, driven by robust bank lending to NBFCs

³¹ Foreign direct investment to India on net basis (i.e., gross inflows adjusted for repatriation/disinvestment).

³² Provisional data. Data on sectoral deployment of bank credit is based on sector-wise and industry-wise bank credit (SIBC) return, which covers 41 select banks accounting for about 95 per cent of total non-food credit extended by all scheduled commercial banks (SCBs). With effect from December 31, 2025, the definition of last reporting fortnight has been changed to the last day of the month under the Banking Laws (Amendment) Act 2025. Accordingly, the y-o-y growth rates from December 2025 onwards are based on end-of-month data for the current year and data for the last reporting fortnight (as per old definition) for the corresponding month of the previous year. Non-food credit growth is calculated based on fortnightly Section-42 return, which covers all SCBs.

Table IV.2b: Higher Outstanding Credit to the Commercial Sector

(₹ lakh crore; Figures in parentheses are y-o-y percentage changes)

Source	At End-March		As on February 28	
	2024	2025	2025	2026 P
A. Non-Food Bank Credit	164.09 (20.2)	182.07 (11.0)	180.83 (11.1)	206.71 (14.3)
B. Non-Bank Sources (B1 + B2)	77.57 (4.2)	88.86 (14.6)	85.37 (13.7)	98.70 (15.6)
B1. Domestic Sources	56.59 (4.9)	66.37 (17.3)	62.55 (15.5)	73.11 (16.9)
B2. Foreign Sources	20.98 (2.4)	22.49 (7.2)	22.82 (9.2)	25.59 (12.2)
C. Total Credit (A + B)	241.66 (14.5)	270.94 (12.1)	266.20 (11.9)	305.41 (14.7)

P: Provisional.

Notes: 1. Figures in the columns might not add up to the total due to rounding off of numbers.
2. Data on non-bank sources excludes issuances of equities and hybrid instruments under domestic sources and foreign direct investment in equities under foreign sources.
3. Flows based on outstanding data may not tally with the flows provided in Table IV.2a due to:
(a) Merger of HDFC Limited with HDFC Bank on July 1, 2023;
(b) Conversion of some Housing Finance Companies into Non-Banking Financial Companies; and
(c) Valuation effect in case of foreign sources.
4. For detailed notes and data, please refer to Current Statistics Table No: 18(b).

Sources: RBI; SEBI; AIFIs; and RBI staff calculations.

and commercial real estate, despite a moderation in credit growth to trade and professional services segments. The growth in personal loans was led by housing, gold and vehicle segments.

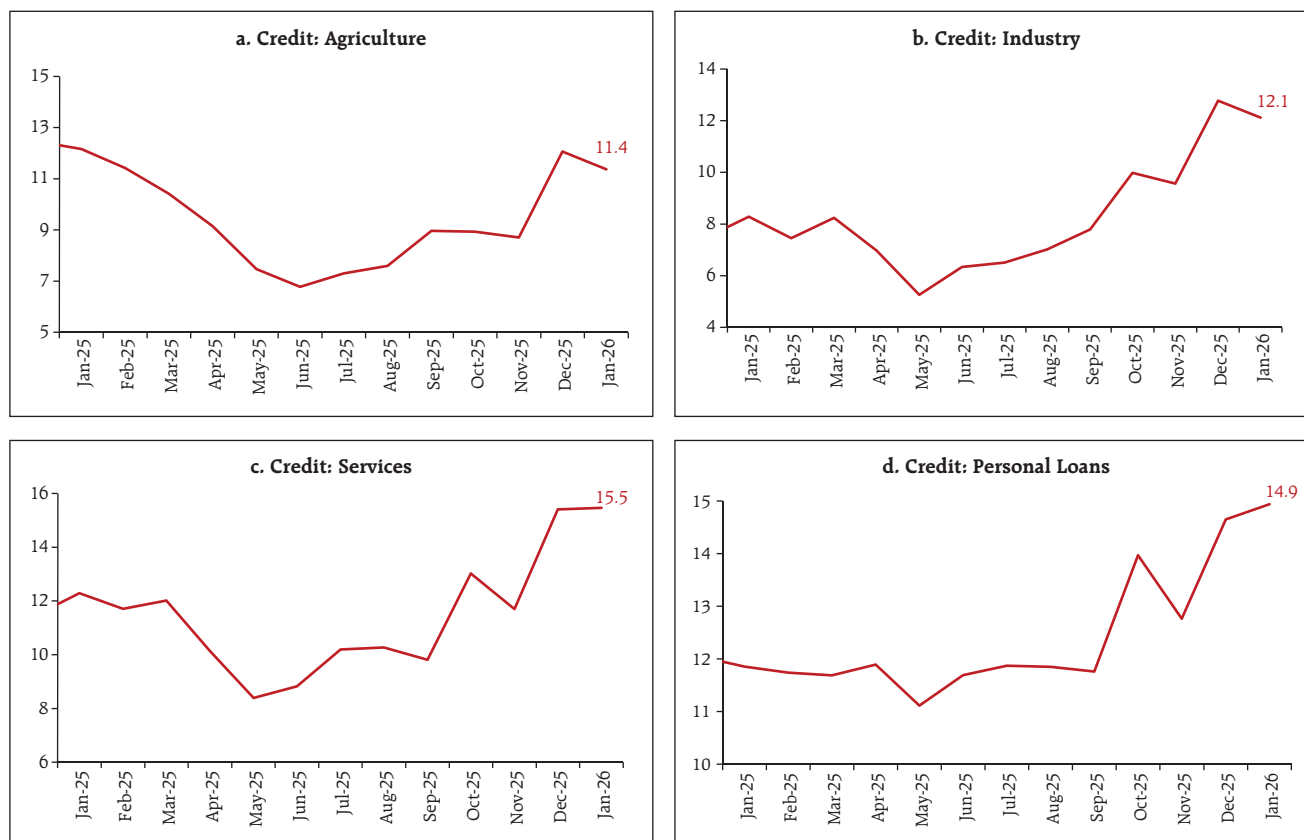
Deposit and Lending Rates

During the current easing cycle from February 2025 to January 2026, the weighted average lending rates of scheduled commercial banks (SCBs) on both fresh and outstanding rupee loans decreased by 66 basis points (bps) and 83 bps, respectively. On the deposit side, interest rates on fresh term deposits have also fallen; however, pass-through to the interest rates on outstanding deposits has been moderate (Table IV.3).

During February 2025 - January 2026, the decline in the weighted average lending rate on fresh and

Chart IV.7: Bank Credit Growth Remained Steady

(Y-o-y, per cent)



Source: RBI.

outstanding rupee loans was higher for private banks than public sector banks (Chart IV.8). On the deposit side, the extent of transmission was

broadly similar across both groups. The reductions in deposit and lending rates have been higher for foreign banks.

Table IV.3: Banks' Deposit and Lending Rates during the Ongoing Easing Cycle

(Basis points)

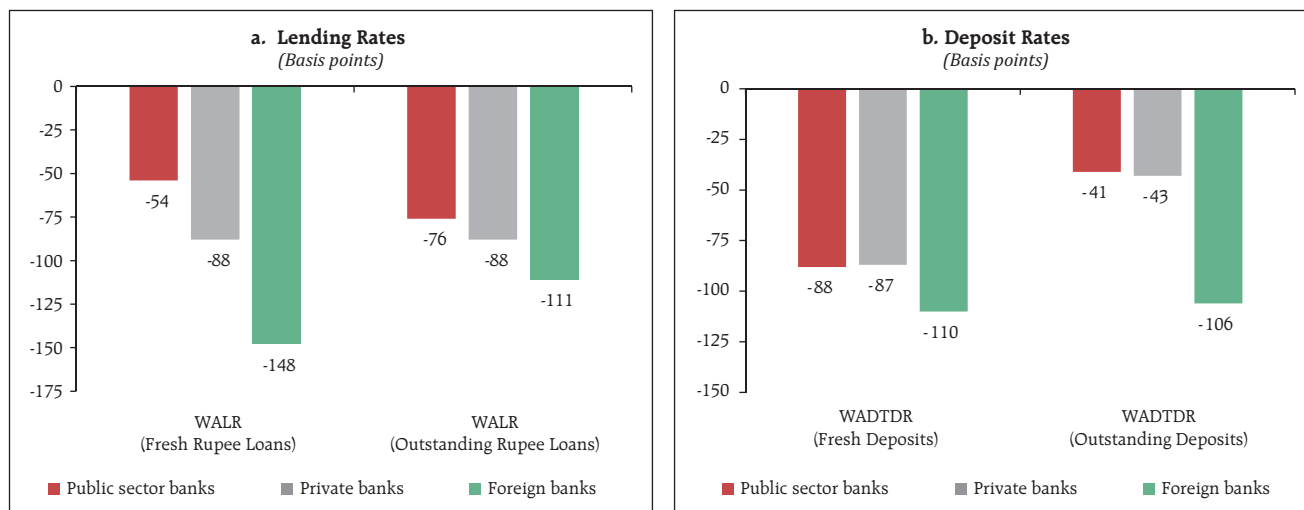
Period	Repo Rate	Term Deposit Rates		Lending Rates				
		WADTDR-Fresh Deposits	WADTDR-Outstanding Deposits	EBLR	1-Year MCLR (Median)	WALR - Fresh Rupee Loans		WALR-Outstanding Rupee Loans
						Overall	Interest Rate Effect [#]	
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
Tightening Period May 2022 to Jan 2025	250	259	206	250	175	182	191	115
Easing Phase Feb 2025 to Jan 2026	-125	-96	-45	-125	-60	-66	-81	-83

[#]: Calculated at January 2025 weights.

WALR: Weighted average lending rate; WADTDR: Weighted average domestic term deposit rate;

MCLR: Marginal cost of funds-based lending rate; EBLR: External benchmark-based lending rate.

Note: Data on EBLR pertain to 32 domestic banks.**Source:** RBI.

Chart IV.8: Monetary Transmission across Bank Groups (February 2025 – January 2026)

Note: Transmission during February 2025 to January 2026 is calculated by subtracting the weighted average lending and deposit rates of January 2025 from those of January 2026.

Source: RBI.

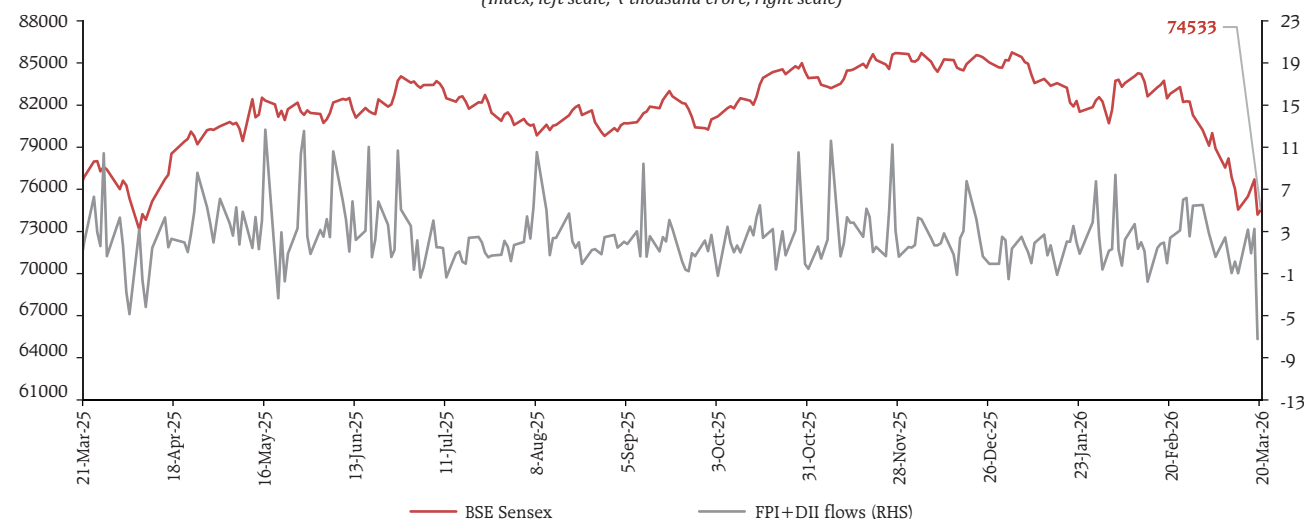
Equity Markets

Indian equity markets, buoyed by the India-US trade deal and strong corporate earnings results for Q3:2025-26 in the first half of February, started retreating in the second half on persistent selling of IT stocks. Following the escalation of geopolitical

tensions in the Middle East in end-February, domestic equity markets saw sharp declines. A broad-based sell-off across all sectors has led to a massive jump in the India Volatility Index in March (Chart IV.9).³³

Chart IV.9: Domestic Equity Markets Impacted by the Middle East Conflict

(Index, left scale; ₹ thousand crore, right scale)



Note: DII: Domestic Institutional Investors.

Source: Bloomberg.

³³ The India VIX, a measure of short-term expected market volatility, spiked to a level of 22.8 (66.5 per cent increase over end-February 2026) as on March 20, 2026.

External Sources of Finance

During April 2025 – January 2026, gross foreign direct investment (FDI) inflows remained strong, higher than the corresponding period a year ago.³⁴ Sector-wise, manufacturing received the highest share of equity inflows, followed by computer services, electricity and other energy, and financial services - these sectors together accounted for over 60 per cent of total inflows. However, net FDI during April 2025 – January 2026 remained negative for the fifth consecutive month, owing to higher repatriation and outward FDI from India.³⁵ Around 75 per cent of the outward FDI flows were directed to the US, Singapore, the UK, and the UAE during the period (Chart IV.10).

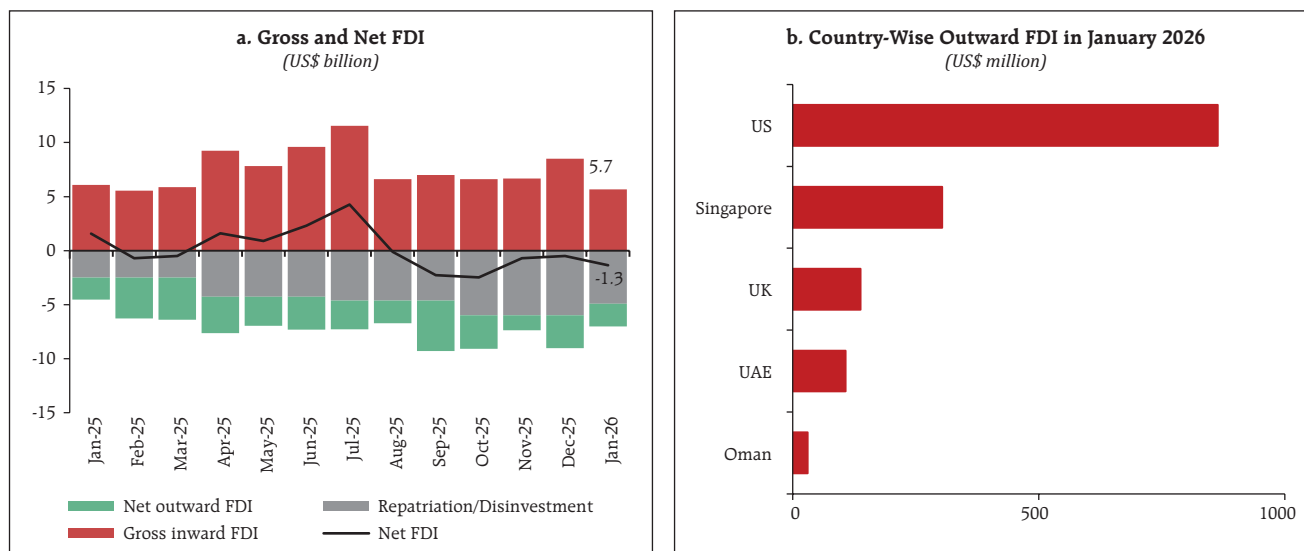
After staging a comeback in February 2026, foreign portfolio investments (FPIs) turned net

sellers again in March 2026, driven by deteriorating global investor sentiment following the conflict in the Middle East (Chart IV.11).³⁶

Offshore fund raising through external commercial borrowings during April-January 2026 indicated a slowdown in terms of registrations and net inflows, over the corresponding period of last year (Chart IV.12).³⁷ Around 43 per cent of the borrowings mobilised during this period were earmarked for capital expenditure by corporates.

India's current account deficit (CAD) stood higher in Q3:2025-26 than the same period last year, primarily driven by a higher merchandise trade deficit (Chart IV.13).³⁸ In terms of external financing needs, net capital flows fell short of financing the CAD, leading to a depletion of US\$ 24.4 billion in

Chart IV.10: Gross Foreign Direct Investment Inflows Remained Stable



Source: RBI.

³⁴ Gross inward FDI rose to US\$ 79.3 billion during April 2025 – January 2026 from US\$ 69.2 billion during the corresponding period a year ago.

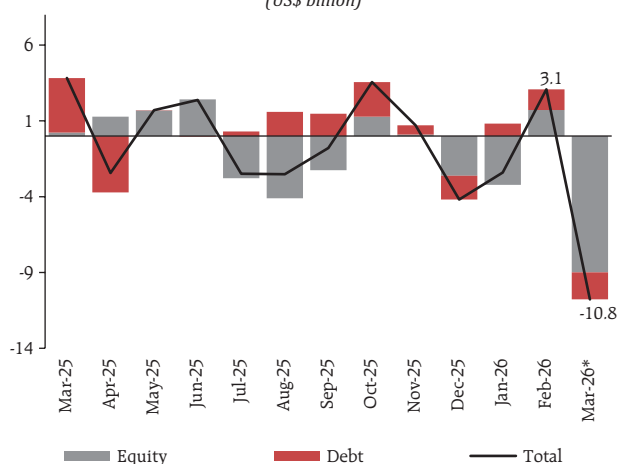
³⁵ Net FDI declined to US\$ 1.7 billion during April 2025 – January 2026 from US\$ 2.2 billion during the corresponding period a year ago.

³⁶ During 2025–26 so far (up to March 18, 2026), net FPI registered outflows to the tune of US\$ 14.2 billion, driven largely by withdrawals from the equity segment. In March so far (up to 18th), net FPI recorded outflows amounting to US\$ 10.8 billion.

³⁷ The registrations of ECBs moderated to US\$ 32.9 billion during April–January 2026, down from US\$ 47.3 billion in the corresponding period a year ago.

³⁸ CAD rose to US\$ 13.2 billion (1.3 per cent of GDP) during Q3:2025-26 from US\$ 11.3 billion (1.1 per cent of GDP) in Q3:2024-25. Net services receipts increased to US\$ 57.5 billion in Q3:2025-26 from US\$ 51.2 billion in Q3:2024-25.

Chart IV.11: Foreign Portfolio Investors Sold in March with the Middle East Conflict
(US\$ billion)

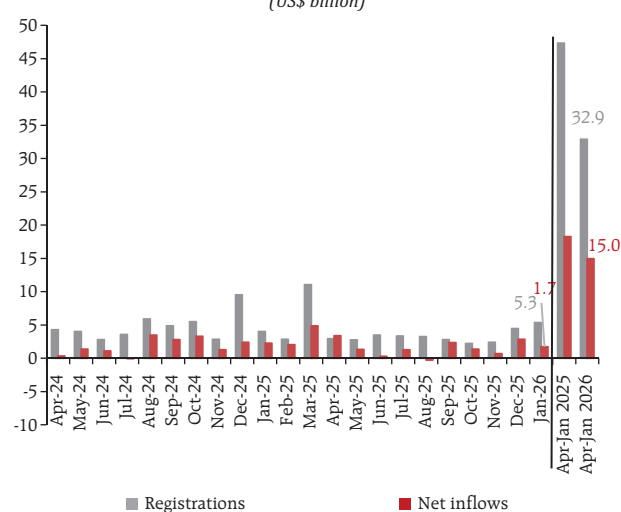


*: Data up to March 18, 2026.

Notes: Debt also includes investments under the hybrid instruments.

Source: National Securities Depository Limited (NSDL).

Chart IV.12: External Commercial Borrowings - Registrations and Flows Moderated
(US\$ billion)



Source: RBI.

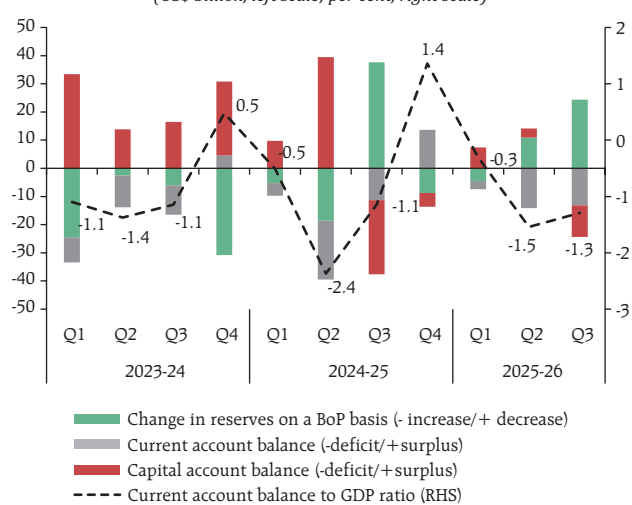
the foreign exchange reserves (on a BoP basis) in Q3:2025-26.

Nevertheless, India's foreign exchange reserves remain adequate, providing cover for goods imports for 11.2 months and around 95 per cent of the external debt outstanding (Chart IV.14).³⁹

Foreign Exchange Market

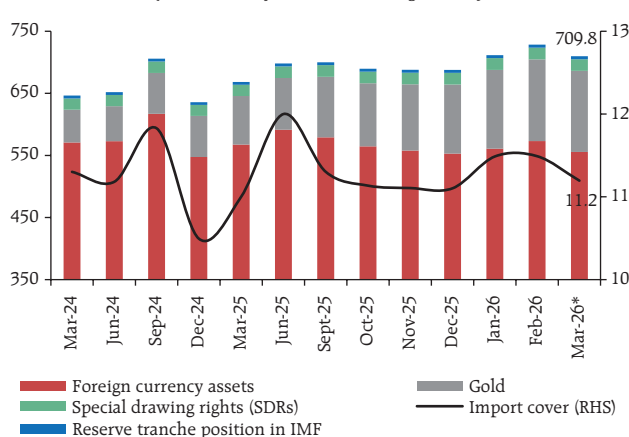
The Indian rupee (INR) appreciated against the US dollar in the first week of February amidst foreign portfolio inflows and the announcement of the interim India-US trade deal and remained broadly stable thereafter. In March so far (up to March 20th).

Chart IV.13: Q3 Current Account Deficit to GDP Ratio Increased Marginally over Last Year
(US\$ billion, left scale; per cent, right scale)



Source: RBI.

Chart IV.14: India's Foreign Exchange Reserves Comfortable
(US\$ billion, left scale; months, right scale)

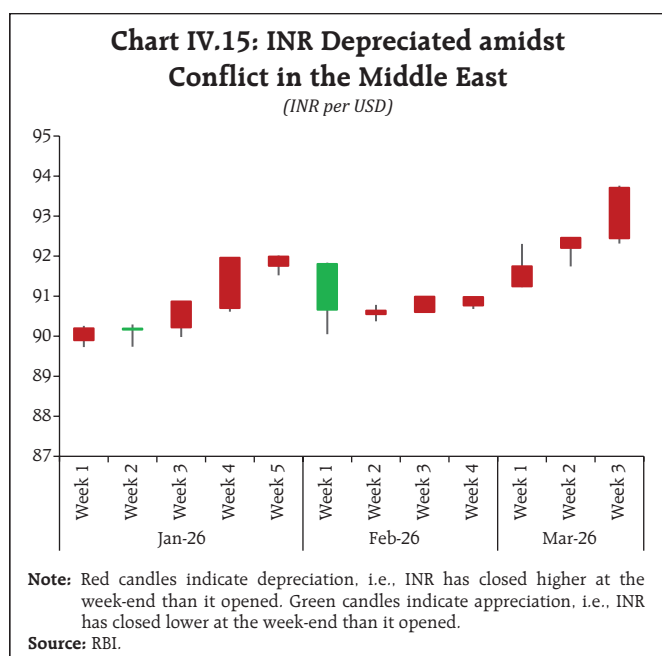


*: As on March 13, 2026.

Note: The import cover data is based on annualised merchandise imports as per the balance of payments statistics.

Source: RBI.

³⁹ As on March 13, 2026, the import cover for goods and services was around nine months.



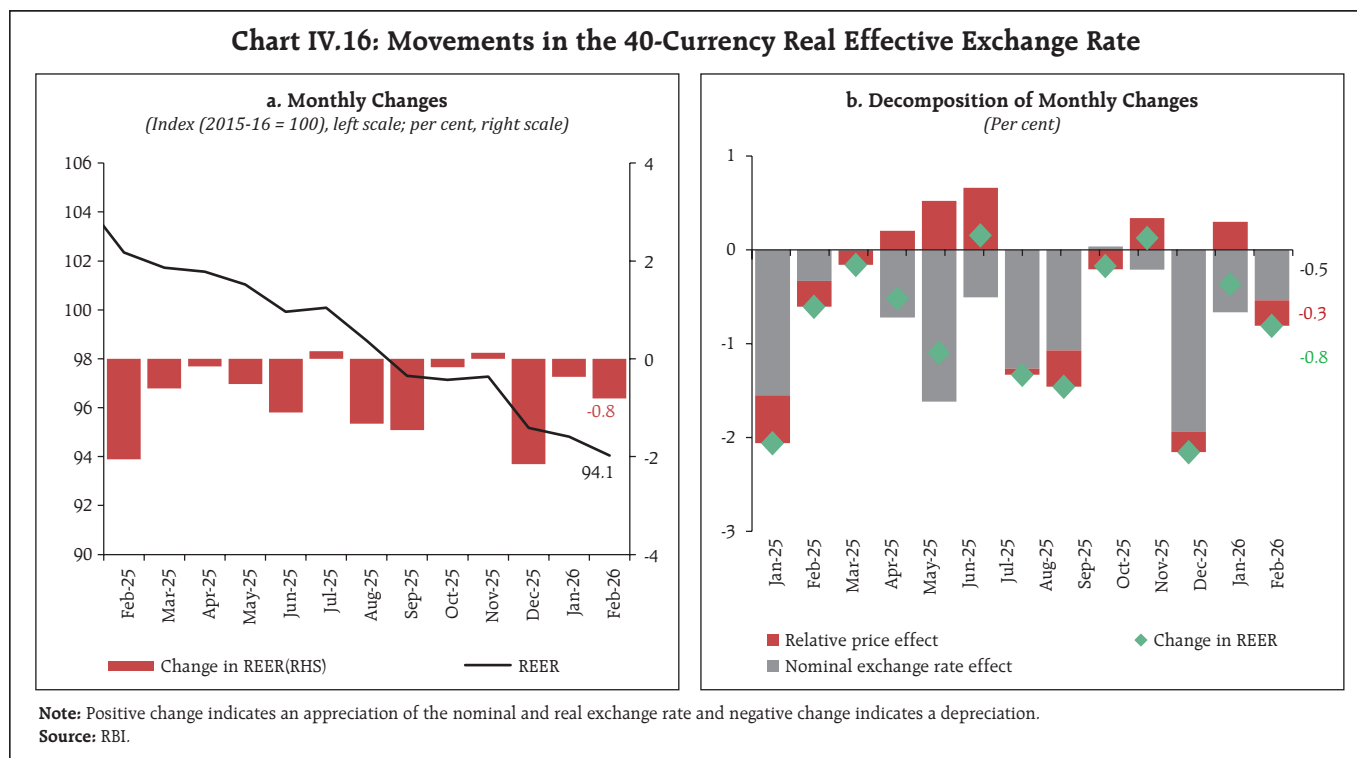
the INR came under renewed depreciation pressures amidst elevated global market volatility due to the Middle East conflict (Chart IV.15). In real effective terms, the Indian rupee depreciated in February due to depreciation of INR in nominal effective terms and

relatively lower inflation in India *vis-à-vis* its major trading partners (Chart IV.16).

V. Conclusion

The renewed conflict in the Middle East and the US investigations into trade practices of key trading partners have brought uncertainties regarding global energy security, US import tariffs and global supply chains back to the centre stage. Prolonged period of war and high uncertainty would be detrimental to the broader global outlook, which was already in a state of flux prior to the recent events.

For the domestic economy, given India's external dependence on crude oil, the evolving situation requires close monitoring and proactive measures to limit adverse spillovers even though it is mention-worthy that the capacity and resilience of the Indian economy to absorb external shocks have strengthened over time, buttressed by its strong growth, sound



macroeconomic fundamentals and robust external sector buffers. In terms of energy security, India has progressively diversified its crude oil import sources and augmented its domestic refining capacity. Since the start of the conflict, several policy measures have been implemented to blunt the immediate impact

of the disruptions in global fuel supply chains and to achieve more effective use of domestic capacity to meet shortfalls.⁴⁰ The creation of an Economic Stabilisation Fund would further provide fiscal headroom and buffer to proactively respond to global headwinds.

⁴⁰ These include invoking the Essential Commodities Act to ensure the supply of natural gas to critical industries, ramping up domestic refining of LPG, diplomatic initiatives for securing the safe passage of fuel carriers through the Strait of Hormuz, and measures to prevent hoarding of petroleum products, among others.

Annex

Box A: Base Year Revision for National Income Accounts: Salient Features

The National Statistics Office (NSO) has released new GDP series with 2022-23 as the revised base year, incorporating several improvements, including the use of new data sources, broader sectoral coverage, and refined estimation and deflation methods. To illustrate, it (a) enriched measurement of corporate sector with the help of updated Ministry of Corporate Affairs (MCA) filings and survey-based annual estimates for the unincorporated sector; (b) updated consumption classification with the help of classification of individual consumption according to purpose (COICOP) 2018, (c) improved coverage of financial intermediation and public administration; (d) shift to either volume-based or double deflation methods from the single deflation method commonly used under the earlier base for obtaining constant price estimates; and (e) enhanced use of supply and use tables to narrow down the statistical discrepancy between the GDP estimated from the production and the expenditure sides (see details in Table A1).

Table A1: Key Changes in Revised Base Year Series and Their Implications

Reform Theme	Focus Area	Change in 2022-23 Series	Implications
I. Real Growth Measurement	Deflation methodology	Greater reliance on volume extrapolation/single extrapolation; adoption of double deflation in manufacturing	Real GDP reflects volume movements and cost structures better
	Improved derivation of FISIM and net indirect taxes	Refined FISIM computation using volume and spread-based indicators; updated banking/NBFC data; volume extrapolation of subsidies and indirect taxes	Output better aligned with economic activity
	Reducing statistical discrepancies	Enhanced use of supply and use tables	Improved estimation of GDP and components from the expenditure side
II. Quarterly Compilation and Alignment	Use of new data sources	Greater use of GST outward supply and high-frequency indicators like e-way bills, natural gas consumption, e-vahan registration, sector-specific administrative datasets	Quarterly series more data-driven, strengthening real-time macroeconomic assessment
	Consistency with annual estimates	Improved benchmarking techniques to align quarterly and annual estimates	Smoother quarterly series
III. Institutional Coverage	Corporate sector	Enhanced MCA-based allocation of multi-activity enterprises; expanded LLPs coverage	More accurate sectoral allocation; improved industry-wise value addition
	Unincorporated/Household sector	Direct annual estimates using ASUSE-PLFS	Improved measurement of informal manufacturing and services
	Government sector	Revised pension treatment, imputation of employer-provided housing in government accounts; improved classification of government and autonomous units	Improved comparability over time and clearer sectoral allocation
IV. Sectoral Coverage	Agriculture and construction	Updated input-output ratios; expanded crop-wise coverage	Better capture of value addition, especially in the unorganised segment
	Private consumption estimates	Expanded PFCE classification based on COICOP 2018; improved survey-based inputs	More precise mapping of demand components
	Household saving estimates	Incorporation of additional financial market data (including SEBI-based investments)	Improvement in estimation of net household financial saving

(Contd...)

The new series shows a lower share of total consumption and higher share of investment as per cent of nominal GDP. On the supply side, the shares of agriculture and industry have increased, while that of services has moderated. There is also a shift within services output composition towards financial, real estate and professional services. Nominal GDP levels are lower by about 2 to 3 per cent than under the old base, raising several GDP-based macroeconomic ratios used for policy purposes. Furthermore, real GVA growth is higher than the real GDP growth, partly reflecting refinements in the treatment of net indirect taxes.

Table A2: Real GDP Growth (at 2022-23 prices)

(Y-o-y growth, per cent)

Components	Share in 2025-26 (per cent)	Weighted Contribution (percentage points)			2024-25				2025-26				2023-24 (FE)	2024-25 (FRE)	2025-26 (SAE)
		2023-24	2024-25	2025-26	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4 [#]			
I. Total Consumption Expenditure	66.0	3.4	3.9	5.0	6.3	5.8	6.2	5.3	8.6	7.8	8.1	5.7	4.9	5.9	7.5
Private	55.7	3.3	3.3	4.3	6.1	5.6	6.0	5.6	9.2	8.0	8.7	5.1	5.8	5.8	7.7
Government	10.2	0.1	0.7	0.7	7.5	7.0	7.6	3.6	5.8	6.6	4.7	9.4	0.6	6.5	6.6
II. Gross Capital Formation	34.2	3.0	2.1	2.2	5.9	7.7	6.3	4.5	4.2	6.8	7.7	7.0	8.7	6.1	6.5
Fixed Investment	32.0	2.3	2.1	2.3	6.5	6.6	6.3	6.2	4.9	8.4	7.8	7.2	7.3	6.4	7.1
III. Net Exports	-1.7	0.4	0.2	-0.1	-15.5	-13.8	63.9	1.8	-13.2	18.2	-89.7	14.2	17.0	8.6	-5.6
Exports	22.2	0.2	1.5	1.5	7.3	3.1	10.5	5.4	6.6	10.2	5.6	4.0	0.7	6.6	6.5
Imports	23.9	-0.3	1.3	1.5	8.3	4.6	2.9	5.5	7.4	5.9	8.6	3.6	-1.0	5.3	6.4
GDP	100.0	7.2	7.1	7.6	7.5	6.6	7.4	7.0	6.7	8.4	7.8	7.3	7.2	7.1	7.6

FE: Final Estimates; FRE: First Revised Estimates; SAE: Second Advance Estimates

*: Component-wise contributions to growth may not add up to GDP growth, as change in stock, valuables and discrepancies are not included.

#: Implicit growth rate for Q4:2025-26.

Source: NSO.

Table A3: Real GVA Growth (at 2022-23 prices) <i>(Y-o-y growth, per cent)</i>															
Sectors	Share in 2025-26 <i>(per cent)</i>	Weighted Contribution <i>(percentage points)</i>			2024-25				2025-26				2023-24 (FE)	2024-25 (FRE)	2025-26 (SAE)
		2023-24	2024-25	2025-26	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4#			
I. Agriculture and allied activities	17.7	0.5	0.8	0.5	2.6	4.1	5.8	3.8	4.2	2.3	1.4	2.1	2.6	4.2	2.4
II. Industry	20.6	2.2	1.7	1.9	9.6	4.6	9.7	10.8	8.0	11.4	11.1	7.8	11.3	8.7	9.5
Mining and quarrying	2.0	0.1	0.2	0.1	11.9	8.3	13.1	12.9	4.5	6.1	4.7	1.7	2.4	11.7	4.1
Manufacturing	16.2	1.9	1.4	1.8	9.4	4.9	10.8	11.8	10.6	13.2	13.3	9.3	12.7	9.3	11.5
Electricity, gas, water supply and other utility services	2.3	0.3	0.1	0.0	9.2	-0.2	0.6	2.1	-1.9	3.9	1.5	2.7	10.7	2.9	1.5
III. Services	61.7	4.5	4.7	5.3	8.5	7.8	7.9	7.0	7.5	9.2	9.1	8.9	7.4	7.8	8.7
Construction	9.0	0.9	0.7	0.6	8.7	6.1	6.4	8.0	5.4	8.7	6.6	7.6	9.9	7.3	7.1
Trade, hotels, transport, communication, and services related to broadcasting	14.3	1.4	0.9	1.4	6.9	6.6	6.7	6.3	9.4	10.4	11.0	9.7	10.1	6.6	10.1
Financial, real estate and professional services	26.1	1.4	2.5	2.5	10.3	10.0	11.1	8.8	8.8	9.9	11.2	9.6	5.5	10.0	9.9
Public administration, defence and other services	12.2	0.9	0.6	0.7	6.9	6.0	4.4	3.2	4.3	6.9	4.5	7.5	6.8	5.0	5.8
IV. GVA at basic prices	100.0	7.2	7.3	7.7	7.6	6.5	7.8	7.1	7.0	8.6	7.8	7.4	7.2	7.3	7.7

FE: Final Estimates; FRE: First Revised Estimates; SAE: Second Advance Estimates

#: Implicit growth rate for Q4:2025-26.

Sources: NSO; and RBI staff calculations.